

June 4, 2026 02:53 AM GMT

Investor Presentation | Asia Pacific

Asia Summer School: Asia/EM Equity Strategy – Integrating Near-Term Views and Longer-Term Themes

We outline key trends across earnings, valuations, positioning and market thematic, helping investors take stock of an extraordinary 1H 2026 and look ahead to potential opportunities in 2H and beyond

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Asia Summer School 2026



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Higher Targets at Mid-Year – Still Seeking a Robust Approach for an Uncertain World

- **We view the current environment as exceptionally uncertain due to the combined effect of the global energy shock and impact of AI capex and disruption.** We continue to set unusually wide bear to bull target price spreads.
- **Our Focus Lists are geared to core MS research themes and are centered on a preference for Goods over Services and concentrated in Energy, Materials, Industrials and Semis / Memory.** We are negative on Autos, Consumer & IT services including E-commerce, and downstream industries impacted by higher commodity prices.
- Japan has broader estimate revisions than EM with multiple sectors/stocks exposed to core MS themes and leveraged to PM Takaichi's agenda. We would invest on an unhedged basis anticipating moderate Yen strength.
- We are constructive on North Asia versus South Asia & Australia, prefer Brazil versus the rest of Latin America, and prefer Greece, Hungary & Saudi Arabia versus the rest of EEMEA.
- In general, we view the rally in EM as cyclical rather than the start of a new secular bull market. Multipolar World trends are also seeing dispersion in country development strategies.
- China remains in deflation with weak aggregate earnings revisions due to continued deflationary forces and AI disruption. We prefer A-shares to H-shares and emphasize capex over consumption.

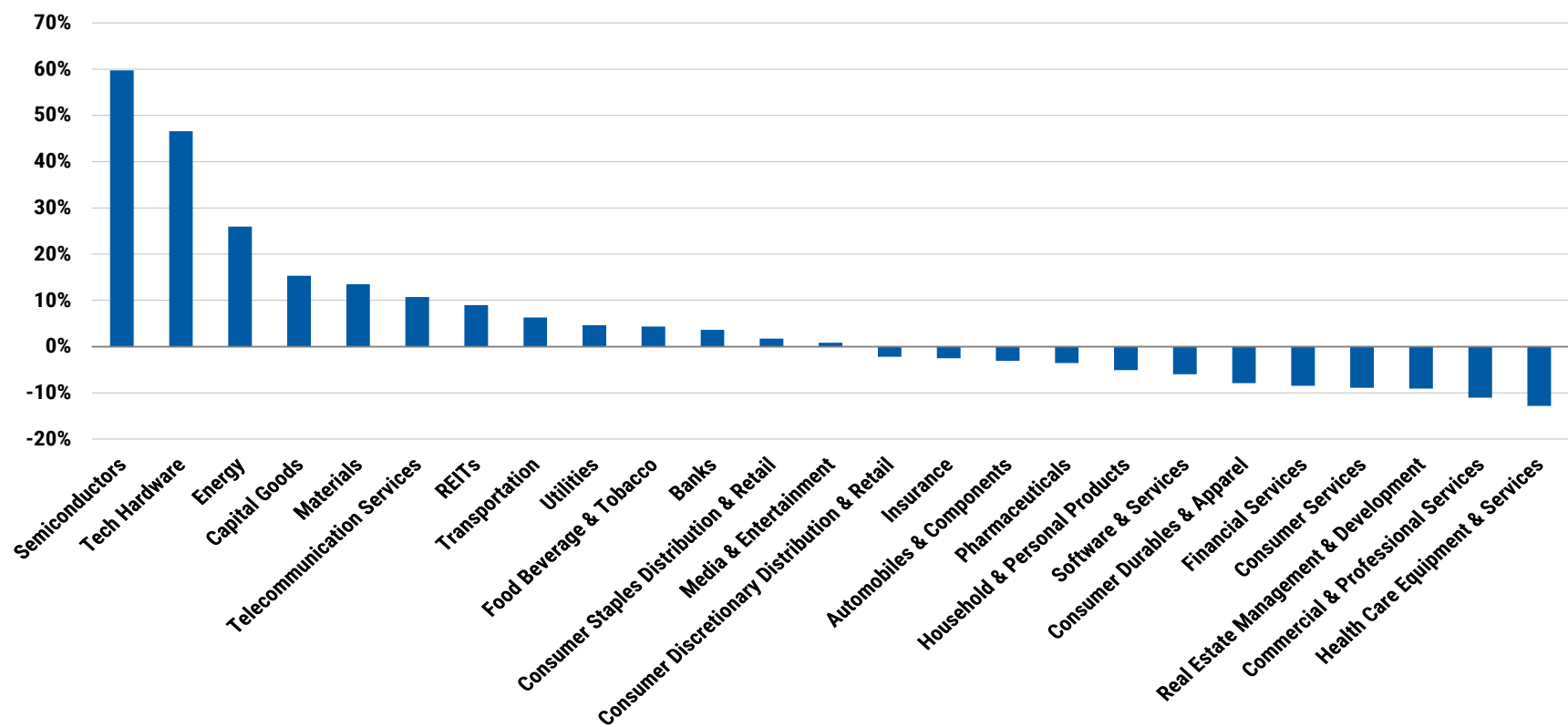
Asia's Competitive Reinvention – Morgan Stanley's Core Themes Are Driving Transformation and Thematic Opportunity



Source: Morgan Stanley Research

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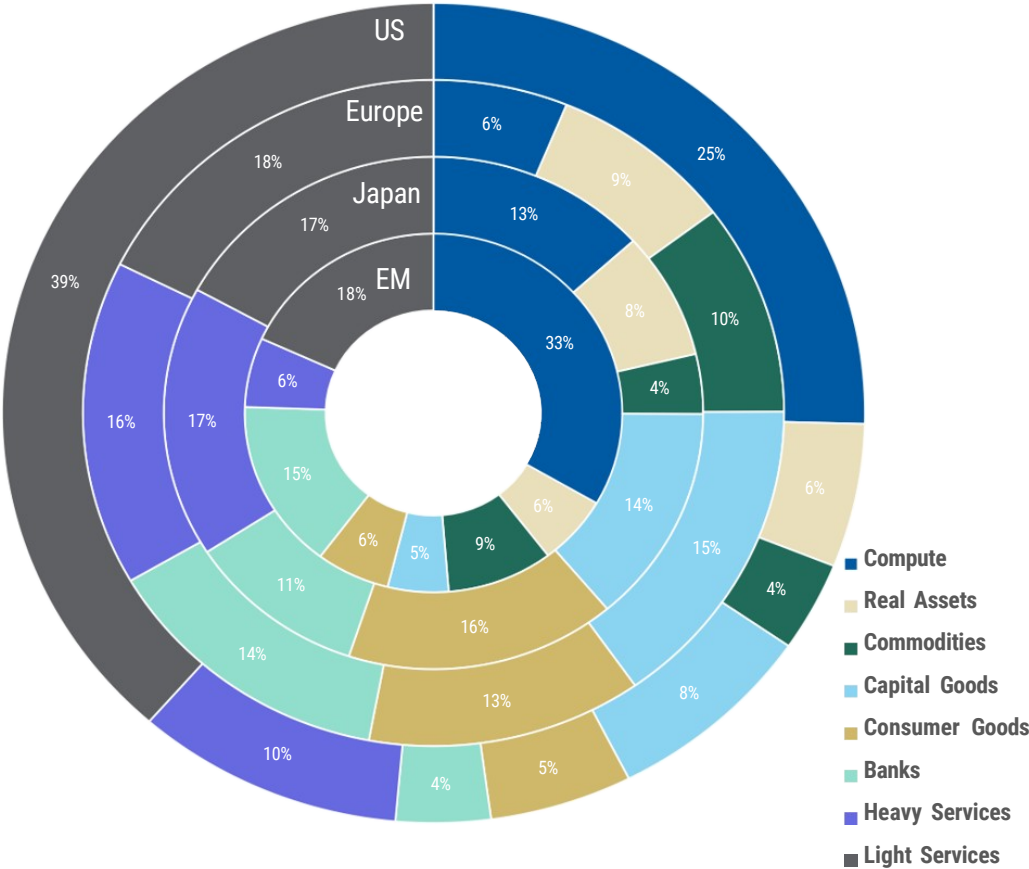
Global Equities Industry Group Performance Year to Date – Major Dispersion in Performance Between Goods & Services Producing Firms



Source: Bloomberg, Morgan Stanley Research. Note: Data as of Jun 2, 2026. *Universe is MSCI All Country World index.

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MSCI Index Breakdown by Economic Exposure – Thematic Forces Driving Major Shifts



Thematic forces are driving major shifts across the underlying economic exposure of companies, driving index shifts.

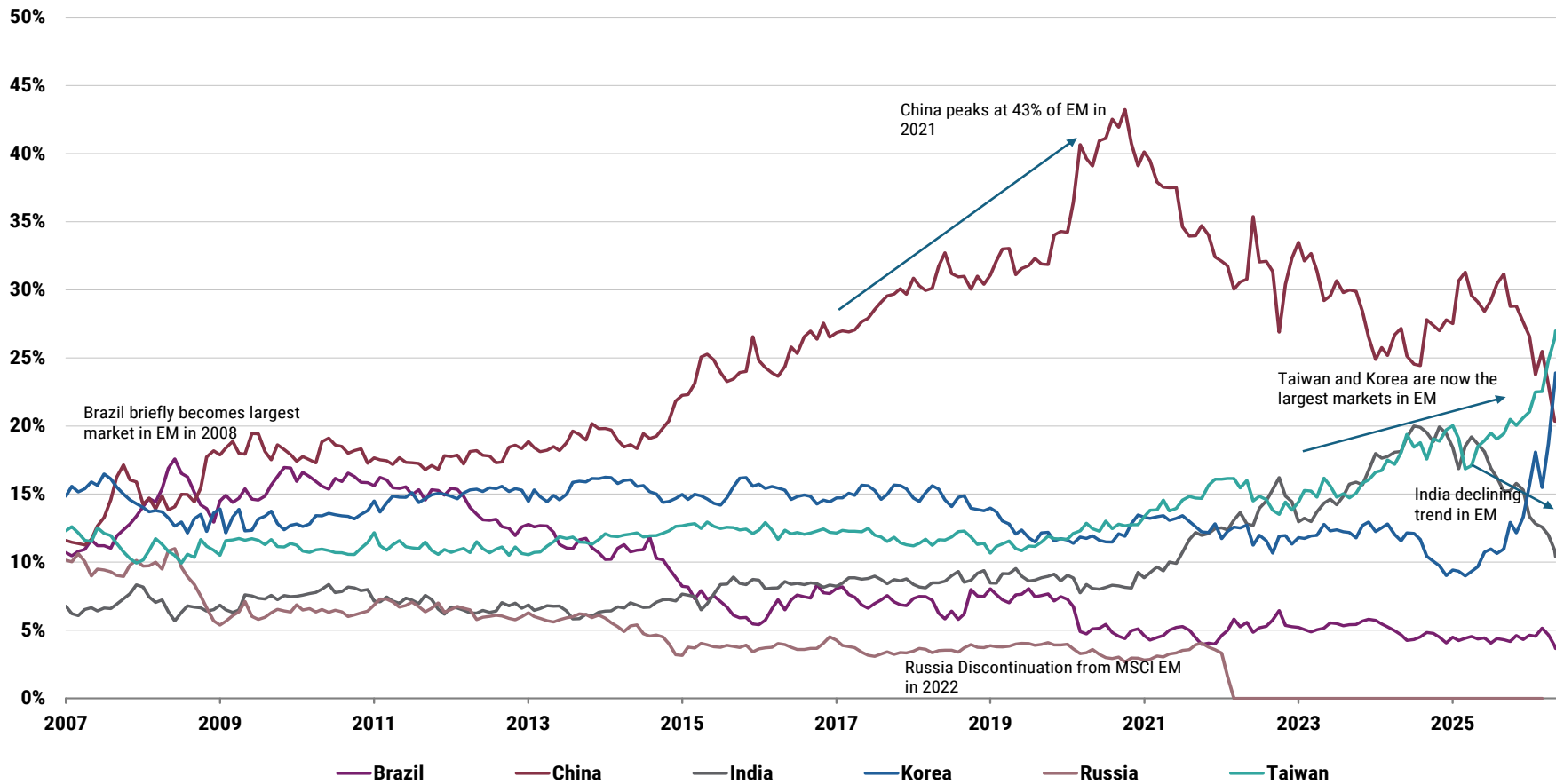
Our Economic Exposure breakdown highlights the following relative concentrations:

Region	Skewed to	Less Exposed to
US	Compute, Light Services	Banks
Europe	Commodities, Cap Goods, Heavy Services	Compute
Japan	Cap Goods, Heavy Services, Consumer Gds	-
EM	Compute, Commodities	Capital Goods, Light Services

Source: Factset, Morgan Stanley Research Data as of April 2026.

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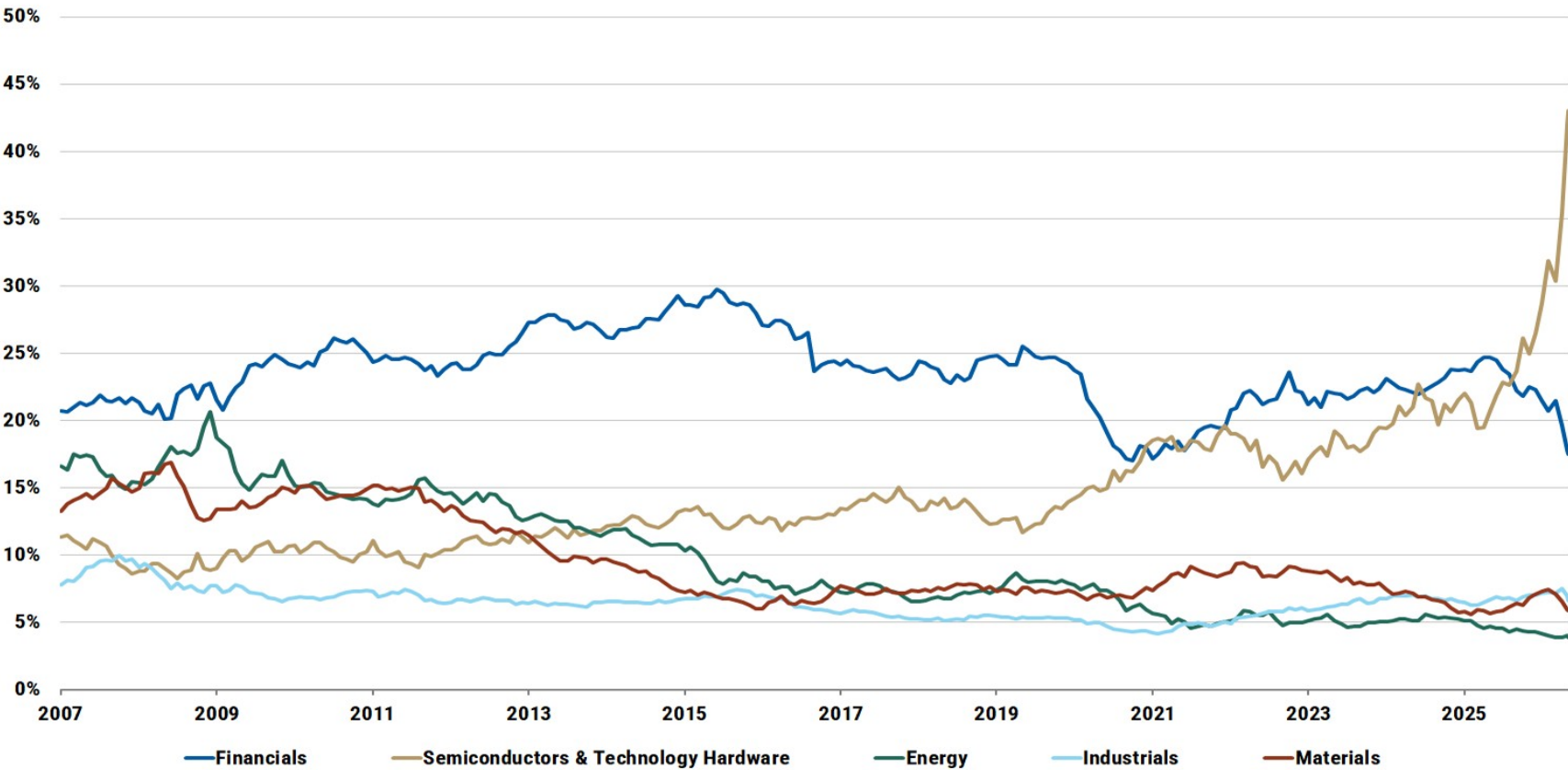
Thematics Driving MSCI EM Shifts in Index Weight – Taiwan & Korea > China & India



Source: Factset, Morgan Stanley Research Data as of June 3, 2026.

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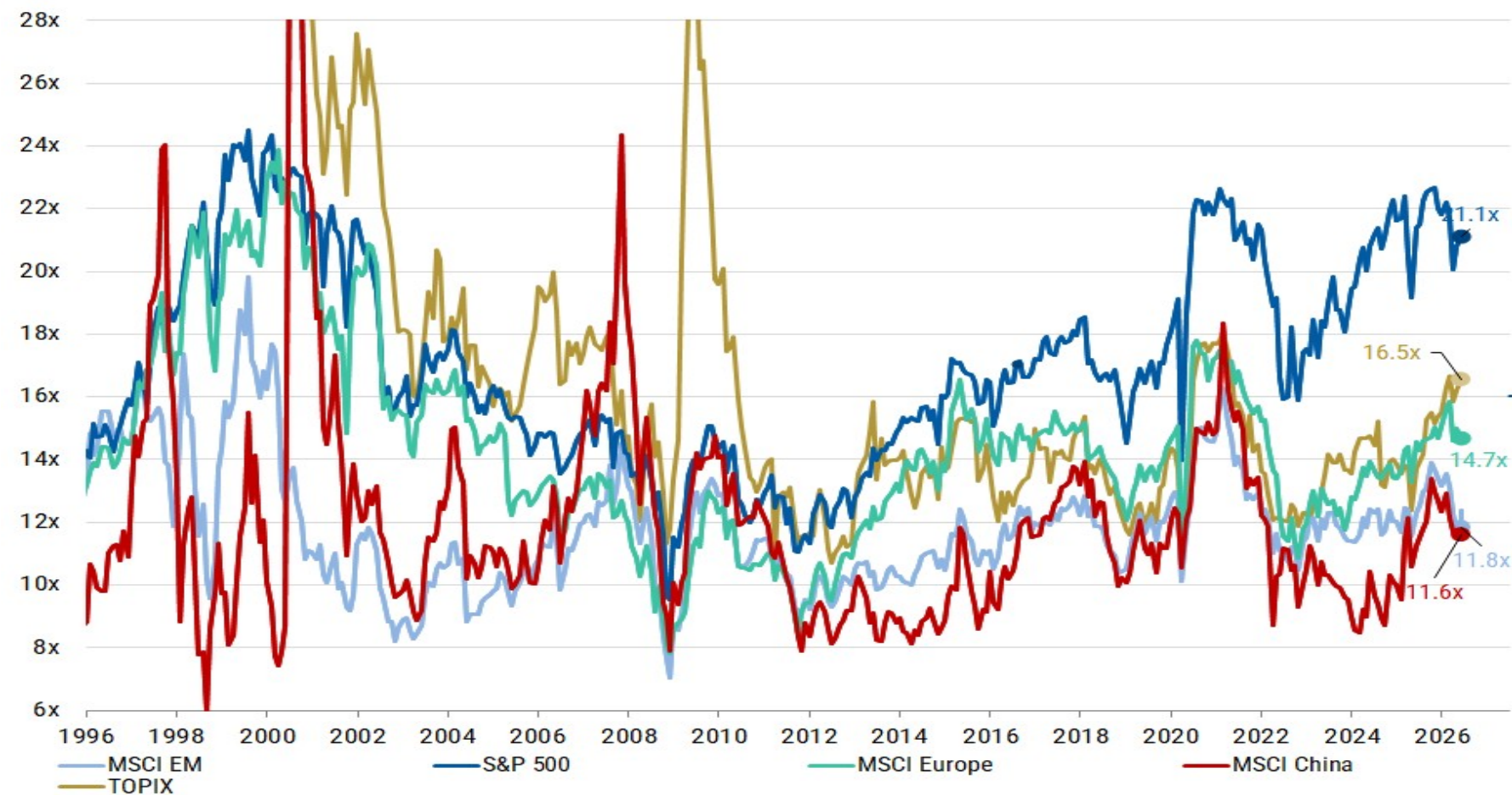
Top 5 industry groups' contribution to MSCI EM index weight historically – Heavily skewed to Semis/Tech Hardware and Financials



Source: Factset, Morgan Stanley Research Data as of 2 June, 2026.

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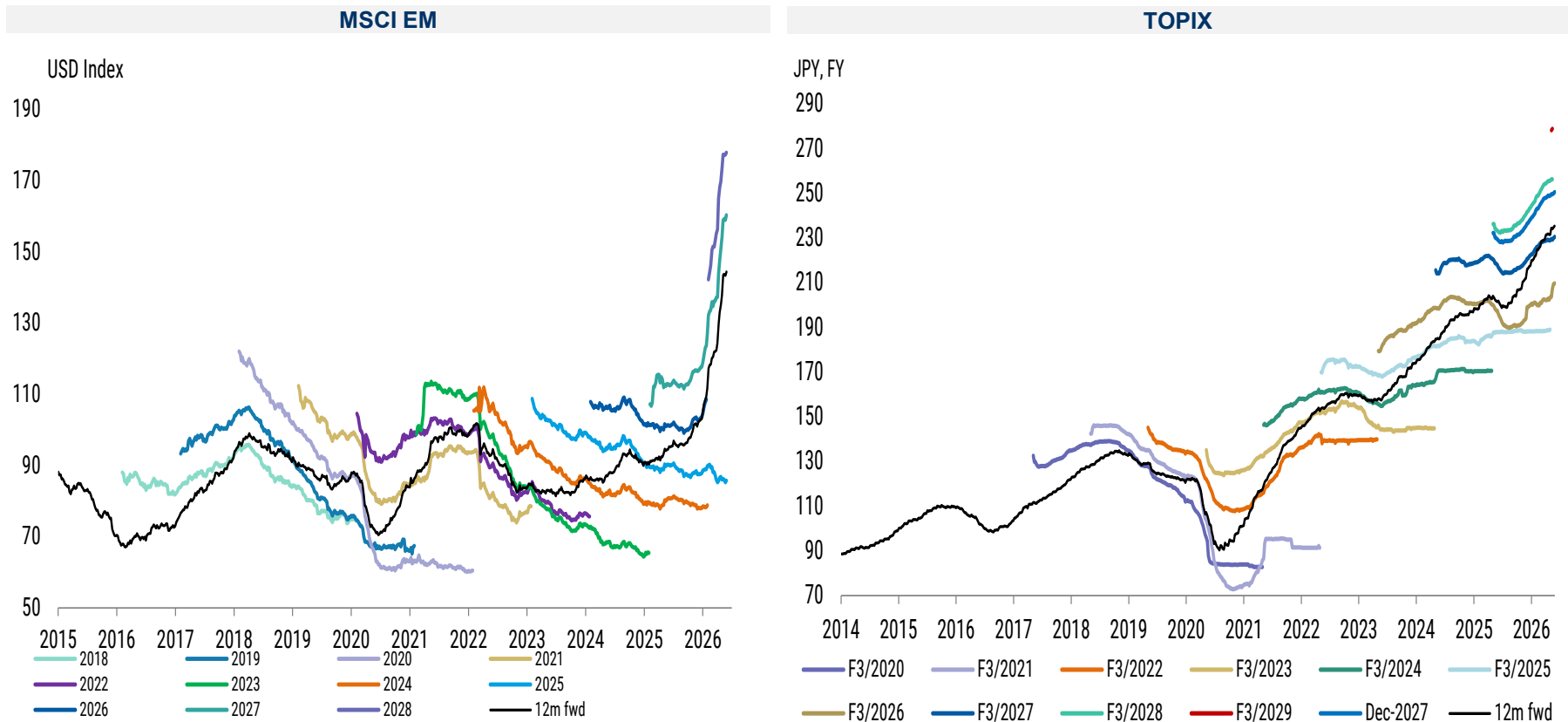
Consensus 12-month Forward P/E by Region



Source: IBES, MSCI, FactSet, Morgan Stanley Research. Note: Data as of May 29, 2026.

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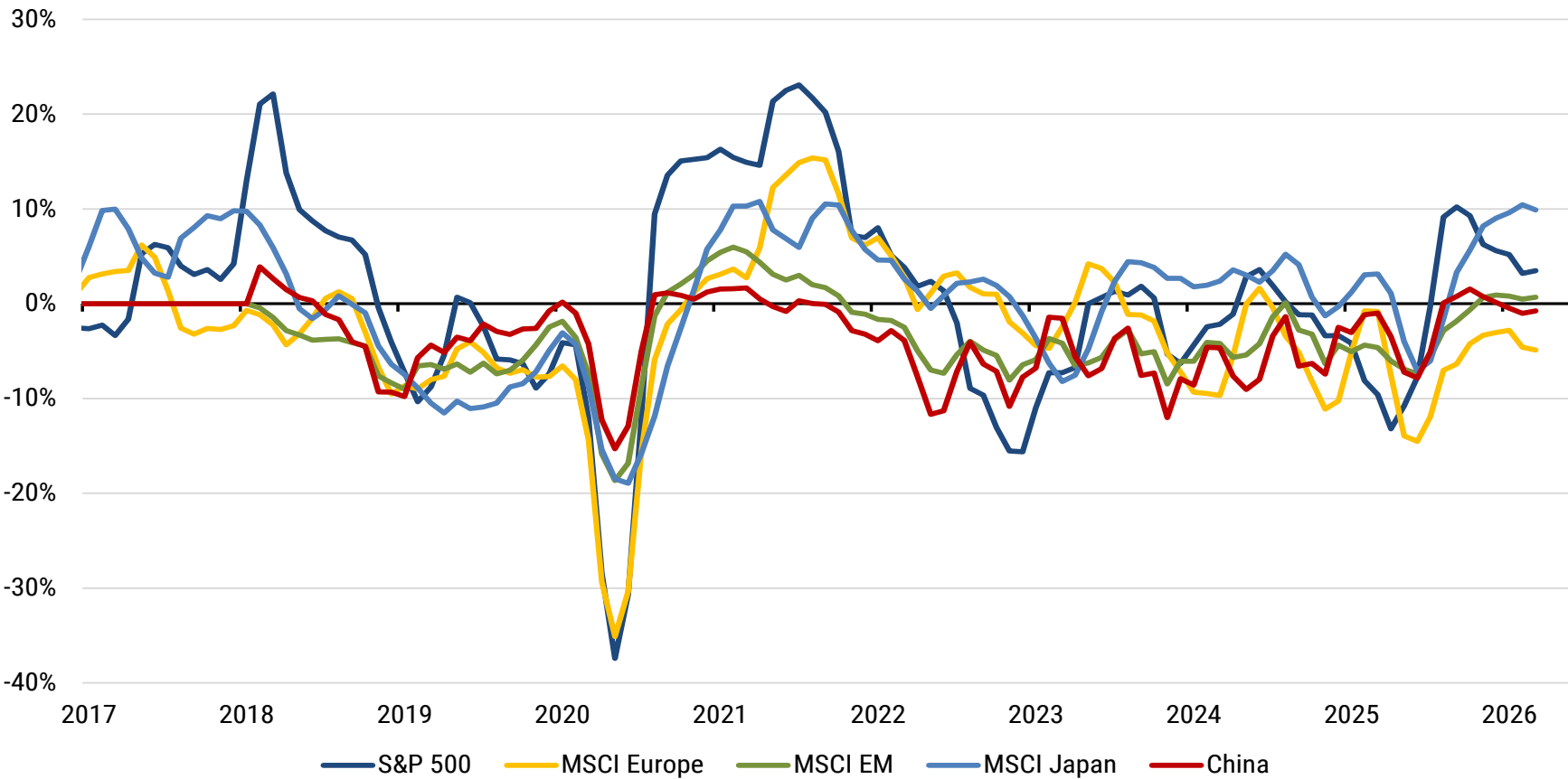
**Consensus EPS Forecast History— Japan Has Delivered Consistent Upgrades;
MSCI EM Has Seen Significant Upgrades, Driven by Korea & Taiwan**



Source: IBES consensus, Datastream, Morgan Stanley Research. Note: Weekly data as of May 28, 2026.

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Earnings Revision Breadth Positive for Japan and EM, Slipping for China



Source: FactSet, IBES consensus, Morgan Stanley Research. Monthly data as of May 2026. Note: Earnings revision breadth is calculated using the 3-month moving average of upgrades less downgrades divided by the total universe of forward earnings estimates.

Asia and EM Market Estimate Revisions Breadth (3mma) and Consensus EPS Growth

	MSCI Asia/EM Market Breakdown 12mf 3MMA Earnings Revisions Breadth																	EPS Growth		
	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	CY2026E	CY2027E	CY2028E
MSCI Japan	1.2%	3.1%	3.1%	1.1%	-4.0%	-7.1%	-6.0%	-1.6%	3.3%	5.7%	8.2%	9.0%	9.6%	10.4%	9.9%	8.4%	5.5%	9.9%	11.7%	11.0%
MSCI EM	-5.1%	-4.3%	-4.6%	-6.0%	-6.9%	-7.4%	-5.6%	-2.8%	-1.8%	-0.6%	0.7%	0.9%	0.8%	0.5%	0.7%	-1.3%	-1.8%	56.2%	19.7%	10.9%
MSCI APxJ	-4.9%	-4.3%	-4.5%	-6.3%	-7.3%	-8.1%	-6.0%	-3.2%	-2.0%	-0.8%	0.6%	0.7%	0.6%	0.5%	1.0%	-0.9%	-1.6%	56.5%	20.1%	11.0%
Australia	-0.2%	0.1%	-2.5%	-5.8%	-8.4%	-10.3%	-10.3%	-8.2%	-6.7%	-1.1%	-0.3%	1.6%	-2.3%	1.6%	2.4%	3.6%	-4.6%	-1.1%	9.5%	6.5%
China	-3.0%	-1.1%	-1.0%	-3.5%	-7.2%	-7.8%	-5.1%	0.1%	0.8%	1.6%	0.7%	0.1%	-0.5%	-1.0%	-0.8%	-3.7%	-4.8%	13.6%	15.0%	13.7%
Hong Kong	0.8%	-4.2%	-4.7%	-5.5%	-4.6%	-1.6%	3.1%	3.5%	3.8%	1.0%	5.5%	1.0%	3.7%	1.2%	4.3%	2.2%	1.4%	16.4%	5.3%	8.4%
India	-11.2%	-12.1%	-11.8%	-13.3%	-8.8%	-10.6%	-7.8%	-8.2%	-6.1%	-5.2%	-1.7%	-1.5%	-0.7%	-1.1%	-1.5%	-3.9%	-6.0%	12.8%	17.1%	14.0%
Indonesia	-3.2%	-11.1%	-15.0%	-16.1%	-16.6%	-12.6%	-12.9%	-8.8%	-11.5%	-12.0%	-6.5%	-3.8%	-2.4%	-2.5%	-1.0%	-1.9%	-7.5%	0.1%	9.5%	9.7%
Korea	-7.9%	-7.6%	-7.5%	-5.9%	-2.8%	-2.2%	-1.5%	0.0%	0.1%	1.9%	5.4%	6.1%	5.6%	5.1%	6.2%	6.0%	7.3%	270.4%	27.5%	5.4%
Malaysia	-1.6%	-2.2%	-2.5%	-4.2%	-4.6%	-11.8%	-11.0%	-9.7%	-2.6%	-2.0%	0.3%	2.4%	2.1%	-0.4%	-0.8%	-0.2%	0.6%	10.1%	6.2%	6.7%
Singapore	6.5%	4.6%	9.4%	5.7%	-0.4%	-4.9%	-2.1%	-1.2%	0.1%	-1.7%	-2.6%	-4.2%	-3.8%	-0.1%	-2.0%	-1.7%	-1.4%	7.6%	10.7%	9.7%
Taiwan	-3.5%	1.6%	-3.7%	-6.0%	-10.2%	-8.4%	-8.3%	-6.6%	-5.0%	-1.5%	2.2%	4.7%	5.6%	8.9%	13.0%	14.1%	21.9%	39.3%	26.7%	23.2%
Thailand	-6.3%	-6.2%	-4.6%	-3.8%	-9.2%	-11.0%	-12.6%	-6.9%	-5.3%	-2.9%	-1.7%	0.0%	1.5%	-0.2%	-0.2%	-3.3%	2.0%	9.0%	7.3%	7.5%
MSCI EM EMEA	-2.0%	-0.8%	-0.4%	-0.4%	-1.1%	0.8%	0.4%	2.1%	0.5%	2.4%	2.1%	3.1%	1.6%	1.9%	0.1%	-2.0%	-4.4%	22.1%	12.8%	6.3%
Czech Republic	-1.0%	3.9%	6.0%	4.7%	6.2%	11.0%	11.0%	8.3%	1.9%	9.3%	11.1%	7.3%	-0.1%	-3.9%	-0.2%	-2.0%	-7.8%	7.4%	-2.1%	-0.9%
Egypt	0.0%	5.6%	-2.8%	0.9%	0.0%	6.7%	3.0%	6.7%	0.0%	3.3%	3.3%	5.9%	2.6%	8.6%	9.1%	9.1%	10.4%	2.9%	11.8%	11.2%
Greece	1.1%	3.2%	4.5%	5.1%	6.9%	7.0%	6.9%	11.6%	13.8%	14.0%	12.2%	9.0%	7.1%	-0.8%	-6.0%	-7.3%	-3.8%	12.5%	11.9%	10.3%
Hungary	7.6%	8.8%	7.3%	4.7%	14.1%	12.1%	12.1%	3.0%	6.1%	10.1%	12.4%	9.2%	3.6%	5.8%	-0.9%	2.3%	-3.7%	7.5%	10.4%	8.8%
Poland	-0.3%	0.6%	4.5%	9.9%	8.9%	5.7%	-0.2%	0.5%	-3.2%	-3.1%	-6.1%	-1.6%	0.6%	2.5%	1.9%	2.1%	2.4%	29.9%	7.9%	3.0%
Qatar	-0.1%	-5.3%	-9.5%	-9.7%	-6.9%	-6.2%	-1.8%	-0.1%	-0.1%	0.0%	4.2%	3.4%	0.4%	-4.6%	-7.8%	-13.8%	-17.4%	0.7%	12.2%	8.9%
Saudi Arabia	-4.1%	-4.0%	-3.2%	-7.4%	-10.0%	-9.3%	-5.5%	-5.3%	-7.0%	-4.3%	-2.9%	-0.8%	-2.2%	-0.4%	-2.4%	-2.8%	-4.3%	13.9%	8.3%	7.0%
South Africa	-4.4%	-2.5%	-3.7%	0.8%	-0.9%	6.7%	0.0%	1.4%	0.1%	6.0%	7.2%	8.0%	4.3%	6.5%	5.2%	1.8%	-2.4%	52.3%	13.5%	1.8%
Turkey	-9.8%	-8.4%	-7.9%	-11.0%	-7.9%	-6.5%	-5.1%	-2.9%	-1.8%	-3.9%	-8.2%	-10.6%	-10.6%	-10.7%	-8.8%	-9.9%	-4.5%	17.3%	38.5%	20.0%
United Arab Emirates	6.7%	8.4%	7.6%	6.2%	4.0%	6.2%	9.7%	16.0%	13.0%	11.2%	7.9%	8.9%	8.6%	7.4%	4.0%	-1.5%	-9.7%	-0.7%	12.6%	9.6%
MSCI LatAM	-3.2%	-4.6%	-6.3%	-6.0%	-6.4%	-4.7%	-4.7%	-4.7%	-4.7%	-3.6%	-0.7%	0.8%	1.1%	-0.2%	-1.2%	-1.6%	-2.8%	28.2%	6.0%	6.6%
Brazil	-7.1%	-9.3%	-11.4%	-10.1%	-10.0%	-7.5%	-6.2%	-4.3%	-3.3%	-1.7%	2.0%	4.6%	4.3%	1.9%	0.0%	0.5%	-1.2%	34.7%	5.5%	5.6%
Chile	2.7%	7.7%	8.4%	7.2%	2.0%	6.3%	4.3%	3.1%	-0.2%	1.3%	6.3%	5.7%	5.3%	-0.4%	-0.5%	1.0%	3.5%	-0.8%	7.9%	-4.8%
Colombia	4.8%	14.3%	14.3%	7.6%	-1.1%	-1.1%	11.1%	5.6%	5.6%	0.0%	0.0%	11.1%	19.4%	19.4%	13.1%	4.8%	4.8%	68.8%	10.5%	NA
Mexico	-1.6%	-3.4%	-5.8%	-5.8%	-5.8%	-6.5%	-8.3%	-10.9%	-11.2%	-12.3%	-11.9%	-12.5%	-10.5%	-9.2%	-8.5%	-11.0%	-11.3%	15.1%	7.3%	9.3%
Peru	24.7%	7.6%	3.6%	-2.6%	3.6%	5.7%	5.7%	6.9%	10.9%	20.5%	26.4%	32.1%	27.7%	32.5%	28.3%	24.4%	11.5%	23.5%	3.8%	4.6%
S&P 500	-4.2%	-8.1%	-9.6%	-13.2%	-10.8%	-7.7%	-0.3%	9.1%	10.2%	9.3%	6.3%	5.6%	5.2%	3.2%	3.5%	2.9%	9.5%	24.0%	17.3%	14.0%
MSCI Europe	-5.1%	-0.7%	-0.8%	-7.6%	-13.9%	-14.5%	-11.9%	-7.0%	-6.4%	-4.2%	-3.3%	-3.0%	-2.8%	-4.6%	-4.9%	-3.9%	-0.9%	17.1%	10.4%	10.1%

Source: FactSet, IBES consensus, Morgan Stanley Research. Note: Monthly data as of May 2026. Earnings revision breadth is calculated using the 3-month moving average of upgrades less downgrades divided by the total universe of forward earnings estimates.

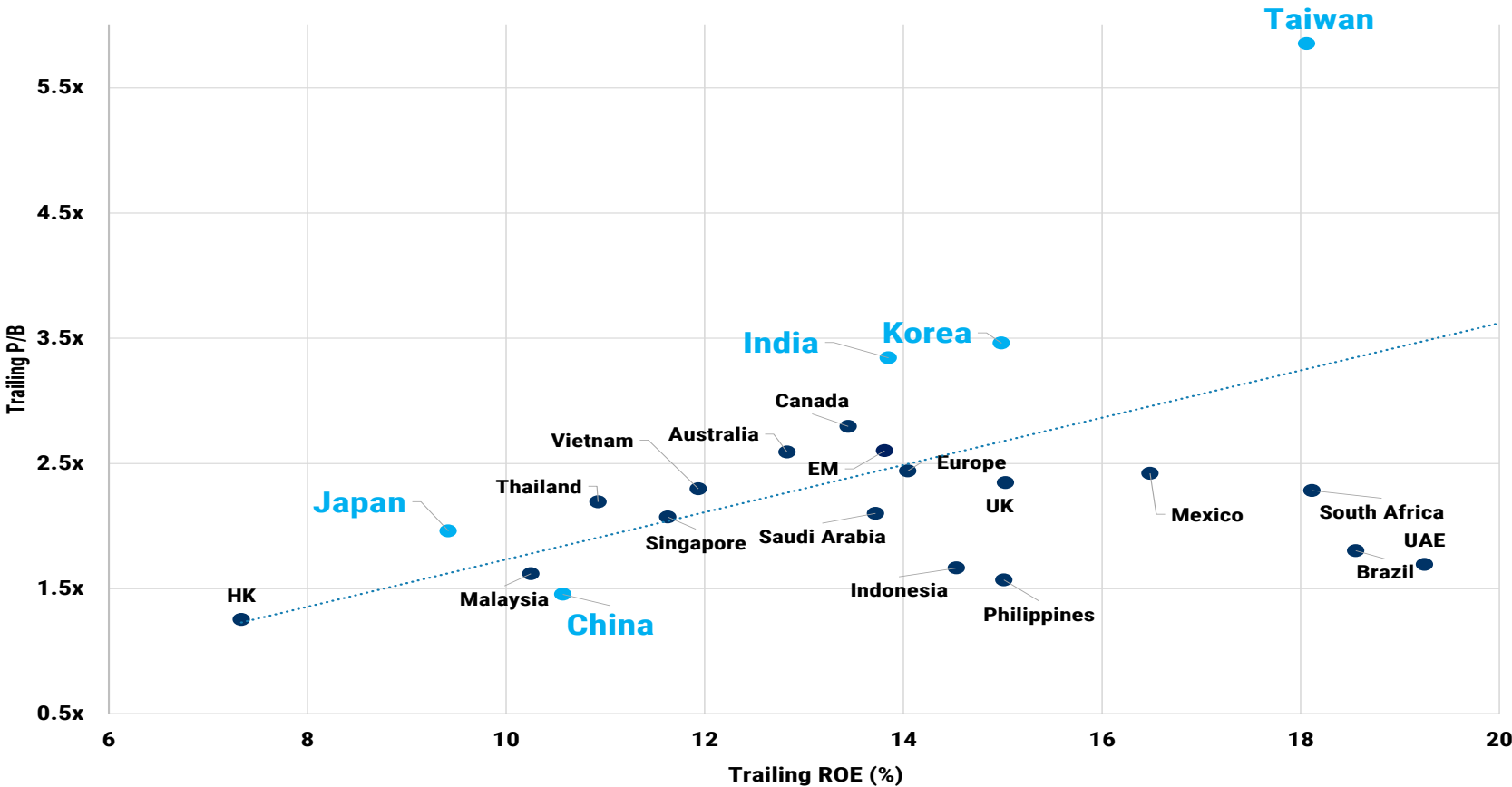
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Asia and EM Industry Estimate Revisions Breadth (3mma) and Consensus EPS Growth

	MSCI EM Industry Group 12mf 3MMA Earnings Revisions Breadth Breakdown																	Consensus EPS Growth		
	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	CY2026E	CY2027E	CY2028E
MSCI EM	-5.1%	-4.3%	-4.6%	-6.0%	-6.9%	-7.4%	-5.6%	-2.8%	-1.8%	-0.6%	0.7%	0.9%	0.8%	0.5%	0.7%	-1.3%	-1.8%	56.2%	19.7%	10.9%
Banks	-1.0%	-2.5%	-2.4%	-3.0%	-4.5%	-5.2%	-3.8%	-1.3%	-1.9%	-2.4%	-0.2%	1.3%	2.1%	2.2%	2.8%	0.9%	-0.8%	8.0%	9.8%	9.5%
Diversified Financials	3.0%	-0.1%	-0.8%	-1.0%	-0.9%	1.2%	1.7%	5.2%	8.0%	8.5%	11.3%	6.6%	6.7%	3.4%	4.6%	2.2%	1.6%	15.2%	11.9%	13.7%
Insurance	8.0%	3.7%	-2.1%	-4.2%	-5.8%	-2.7%	-0.4%	4.3%	7.1%	9.0%	11.6%	9.1%	10.1%	4.5%	3.2%	-3.8%	-4.1%	-2.3%	7.4%	5.0%
Real Estate	8.1%	8.1%	2.6%	8.3%	10.7%	10.7%	2.4%	9.5%	-0.3%	-4.2%	-15.7%	-5.9%	-7.8%	-5.9%	-8.3%	2.7%	-2.8%	-39.6%	11.0%	7.4%
Energy	-12.2%	-6.8%	-7.0%	-10.6%	-14.2%	-15.6%	-10.0%	-4.7%	-2.2%	-0.9%	2.9%	4.0%	3.4%	0.8%	4.1%	8.8%	10.3%	31.6%	-2.7%	-0.5%
Materials	-11.9%	-10.4%	-10.2%	-9.2%	-6.5%	-6.4%	-4.9%	-1.4%	1.2%	2.4%	3.5%	3.0%	3.2%	3.1%	3.7%	3.9%	3.8%	101.0%	10.2%	3.1%
Capital Goods	-7.0%	-5.1%	-4.3%	-6.7%	-6.0%	-7.1%	-3.3%	-1.9%	0.0%	-0.4%	3.5%	3.1%	3.1%	0.6%	0.7%	-1.4%	-2.3%	61.0%	22.0%	11.0%
Commercial & Prof. Services	-13.6%	-3.0%	0.1%	-9.7%	-16.5%	-24.4%	-14.7%	-6.3%	10.0%	13.6%	15.9%	4.6%	1.1%	2.5%	-2.2%	0.3%	-0.7%	12.1%	15.3%	12.5%
Transportation	-2.2%	-1.8%	-4.6%	-5.6%	-6.1%	-5.2%	-3.9%	-1.4%	-2.7%	-4.3%	-6.0%	-3.9%	-3.2%	-1.1%	0.1%	-2.6%	-6.7%	-5.1%	13.8%	8.3%
Utilities	-5.5%	-9.4%	-9.2%	-11.7%	-9.7%	-10.7%	-7.1%	-3.8%	-5.9%	-4.2%	-5.0%	-2.5%	-3.6%	-6.3%	-5.9%	-8.4%	-8.1%	11.9%	12.7%	4.7%
Automobiles & Components	0.1%	-1.9%	-2.5%	-3.0%	-6.7%	-8.0%	-8.8%	-5.1%	-2.5%	0.9%	3.6%	1.9%	0.7%	-2.3%	-4.0%	-10.6%	-15.4%	23.5%	22.3%	15.9%
Consumer Durables & Apparel	-4.9%	-3.3%	-5.4%	-7.5%	-7.0%	-7.7%	-6.9%	-7.0%	-4.1%	-1.1%	-1.6%	-2.3%	-2.7%	-2.5%	-3.4%	-3.9%	-4.7%	20.8%	12.5%	10.4%
Consumer Services	4.6%	0.8%	-5.8%	-9.0%	-12.8%	-15.2%	-13.6%	-11.8%	-10.6%	-9.2%	-6.8%	-5.4%	-6.1%	-4.4%	-2.3%	-7.6%	-6.8%	11.6%	84.9%	29.1%
Food & Staples Retailing	-9.5%	-5.4%	-7.9%	-7.3%	-12.0%	-10.8%	-13.7%	-12.4%	-9.7%	-6.8%	-6.5%	-6.1%	-4.6%	-6.9%	-11.3%	-12.0%	-9.5%	15.4%	12.5%	16.6%
Food Beverage & Tobacco	-9.8%	-5.3%	-5.1%	-4.2%	-3.4%	-4.1%	-5.8%	-6.3%	-8.5%	-7.7%	-9.6%	-7.3%	-7.5%	-3.4%	-3.6%	-5.7%	-7.0%	11.6%	11.8%	10.8%
Household & Personal Products	-24.6%	-23.9%	-21.2%	-23.0%	-12.0%	-15.1%	-11.6%	-14.3%	-12.5%	-13.7%	-16.5%	-15.1%	-13.0%	-6.7%	-4.9%	-8.5%	-5.2%	1.2%	12.1%	11.4%
Retailing	-4.7%	-4.6%	-1.7%	-4.2%	-3.5%	-8.2%	-8.4%	-8.1%	-1.5%	1.2%	3.2%	0.6%	-1.7%	-2.8%	-2.7%	-7.0%	-8.3%	33.6%	27.4%	20.9%
Health Care Equip. & Services	-14.1%	-7.3%	-7.7%	-11.0%	-16.2%	-15.1%	-11.7%	-4.0%	-10.2%	-9.1%	-15.7%	-8.1%	-9.4%	-4.7%	-7.1%	-11.1%	-14.7%	11.5%	14.4%	10.5%
Pharma, Biotech & Life Sciences	-2.7%	-2.9%	-0.7%	-2.4%	-0.7%	-4.0%	-3.6%	-2.6%	1.1%	1.4%	0.2%	-1.3%	-1.6%	-0.3%	-0.3%	-1.2%	-2.1%	14.2%	23.0%	25.1%
Media & Entertainment	0.2%	0.7%	3.7%	2.7%	2.1%	2.3%	2.7%	5.8%	5.3%	6.3%	3.7%	-0.2%	-1.2%	-2.3%	-5.6%	-11.1%	-12.5%	8.5%	12.5%	10.2%
Semis & Semi Equipment	-7.0%	-4.1%	-4.7%	-4.1%	-10.8%	-11.6%	-11.7%	-7.7%	-7.6%	-3.7%	2.1%	5.4%	4.9%	6.4%	7.7%	5.8%	7.5%	131.7%	30.6%	16.1%
Software & Services	-5.2%	-4.4%	-5.5%	-14.8%	-24.7%	-23.6%	-12.8%	-2.9%	-4.1%	1.8%	2.6%	4.8%	8.0%	12.7%	9.9%	7.6%	0.7%	16.9%	12.4%	12.1%
Tech. Hardware & Equipment	-5.6%	-2.7%	-3.9%	-5.5%	-7.6%	-6.4%	-3.1%	1.7%	4.7%	6.8%	8.6%	7.4%	5.9%	5.7%	8.5%	9.3%	14.4%	278.8%	29.0%	5.1%
Telecommunication Services	2.3%	1.0%	2.0%	1.7%	1.0%	-0.5%	-0.5%	-1.3%	-1.1%	-2.3%	1.2%	2.1%	2.2%	-1.6%	-2.3%	-4.1%	-4.1%	18.7%	16.7%	13.3%

Source: FactSet, IBES consensus, Morgan Stanley Research. Note: Monthly data as of May 2026. Earnings revision breadth is calculated using the 3-month moving average of upgrades less downgrades divided by the total universe of forward earnings estimates.

Valuation vs. Profitability – Korea Has Re-rated the Most in P/B Terms



Source: FactSet, MSCI, RIMES, Morgan Stanley Research. Note: Data as of Jun 1, 2026. Numbers are based on MSCI indices for each economy.

Asia EM Market Valuation Dashboard

MSCI Indices		Japan	China	Hong Kong	Taiwan	Korea	India	Australia	Singapore	Malaysia	Thailand	Indonesia	Philippines	Brazil	Mexico	South Africa	Saudi Arabia	UAE	MSCI EM	MSCI APJ	USA	Europe
MS Rating	vs Asia/EM	OW	EW	EW	EW	EW	EW	EW	OW	EW	EW	UW	UW	OW	EW	EW	OW	EW	EW	-	-	-
Index Weight	% of APAC-EM	25.1%	13.0%	2.2%	16.8%	14.7%	6.9%	7.0%	1.8%	0.6%	0.6%	0.4%	0.2%	2.5%	1.1%	1.9%	1.5%	0.7%	12.1% (ACWI)	12.2% (ACWI)	63.6% (ACWI)	13.8% (ACWI)
Earnings Revisions & Growth	CY2 EPS Rev Breadth (3ma)	18%	-7%	-6%	51%	20%	-9%	-7%	1%	1%	5%	-17%	-12%	-3%	-17%	-6%	-4%	-14%	-1%	-1%	18%	0%
	3m Δ of 12mf EPS	3%	0%	0%	12%	56%	1%	2%	1%	2%	5%	-4%	-1%	9%	1%	3%	3%	-1%	18%	18%	7%	6%
	12mf EPS growth	9%	15%	11%	32%	92%	15%	9%	9%	9%	8%	4%	5%	21%	11%	29%	12%	5%	36%	37%	20%	14%
ROE	Level	9.4%	10.6%	7.3%	18.1%	15.0%	13.9%	12.8%	11.6%	10.2%	10.9%	14.5%	15.0%	18.6%	16.5%	18.1%	13.7%	19.2%	13.8%	12.6%	20.7%	14.0%
	10yr %ile	61%	23%	57%	89%	99%	42%	69%	85%	89%	61%	47%	99%	69%	99%	93%	90%	99%	99%	99%	99%	98%
12mf PE	Level	17.5x	10.9x	14.6x	22.7x	8.5x	20.3x	17.8x	15.9x	14.2x	18.2x	9.0x	9.5x	8.2x	12.9x	8.6x	13.8x	8.7x	12.2x	13.3x	21.8x	14.8x
	10yr %ile	93%	35%	54%	99%	16%	48%	74%	93%	42%	87%	1%	2%	40%	42%	6%	1%	9%	59%	47%	74%	66%
P/Book	Level	2.0x	1.4x	1.3x	5.8x	3.3x	3.4x	2.6x	2.1x	1.6x	2.2x	1.7x	1.5x	1.8x	2.4x	2.4x	2.1x	1.7x	2.6x	2.6x	5.9x	2.5x
	10yr %ile	98%	27%	61%	99%	99%	50%	97%	96%	58%	88%	1%	2%	61%	82%	82%	46%	79%	99%	99%	99%	98%
P/Sales	Level	1.6x	1.4x	2.7x	3.6x	3.0x	2.4x	2.4x	2.9x	2.1x	1.4x	1.7x	1.8x	1.1x	1.2x	1.8x	3.1x	2.3x	2.2x	2.4x	3.7x	1.7x
	10yr %ile	98%	58%	56%	99%	99%	64%	78%	93%	38%	86%	1%	6%	41%	69%	55%	24%	13%	99%	99%	99%	99%
Div Yield	Level	1.8%	2.3%	3.5%	1.4%	0.7%	1.2%	3.4%	3.4%	4.0%	3.1%	6.9%	3.6%	5.8%	3.8%	3.4%	3.7%	5.1%	1.9%	1.8%	1.1%	2.9%
	10yr %ile	2%	68%	69%	1%	1%	42%	15%	17%	73%	73%	99%	99%	57%	83%	73%	72%	77%	6%	1%	1%	21%
Technicals	30 day RSI	59	36	45	72	76	47	42	53	50	61	15	40	22	49	42	28	39	67	67	72	53
	50/200d MA	8%	-6%	5%	25%	43%	-4%	0%	0%	3%	13%	-16%	-1%	9%	6%	2%	2%	-5%	10%	10%	3%	3%
Rel. Pos.	vs MSCI EM	NA	-0.3%	0.1%	-1.2%	1.0%	-1.2%	-1.0%	-0.1%	-0.4%	0.1%	0.3%	0.0%	2.3%	0.7%	-0.4%	-1.0%	NA	NA	NA	NA	NA
Perf.	Since Feb 28	0%	-8%	-6%	28%	39%	-8%	-4%	-1%	-3%	-3%	-34%	-18%	-8%	-4%	-16%	2%	-15%	9%	9%	10%	-2%
	3m	0%	-8%	-6%	28%	39%	-8%	-4%	-1%	-3%	-3%	-34%	-18%	-8%	-4%	-16%	2%	-15%	9%	9%	10%	-2%
	YTD	15%	-9%	6%	60%	117%	-11%	10%	4%	3%	24%	-38%	-8%	12%	13%	0%	6%	-6%	25%	25%	11%	5%

Source: FactSet, Morgan Stanley Research. Note: Data as of May 29, 2026.

Morgan Stanley

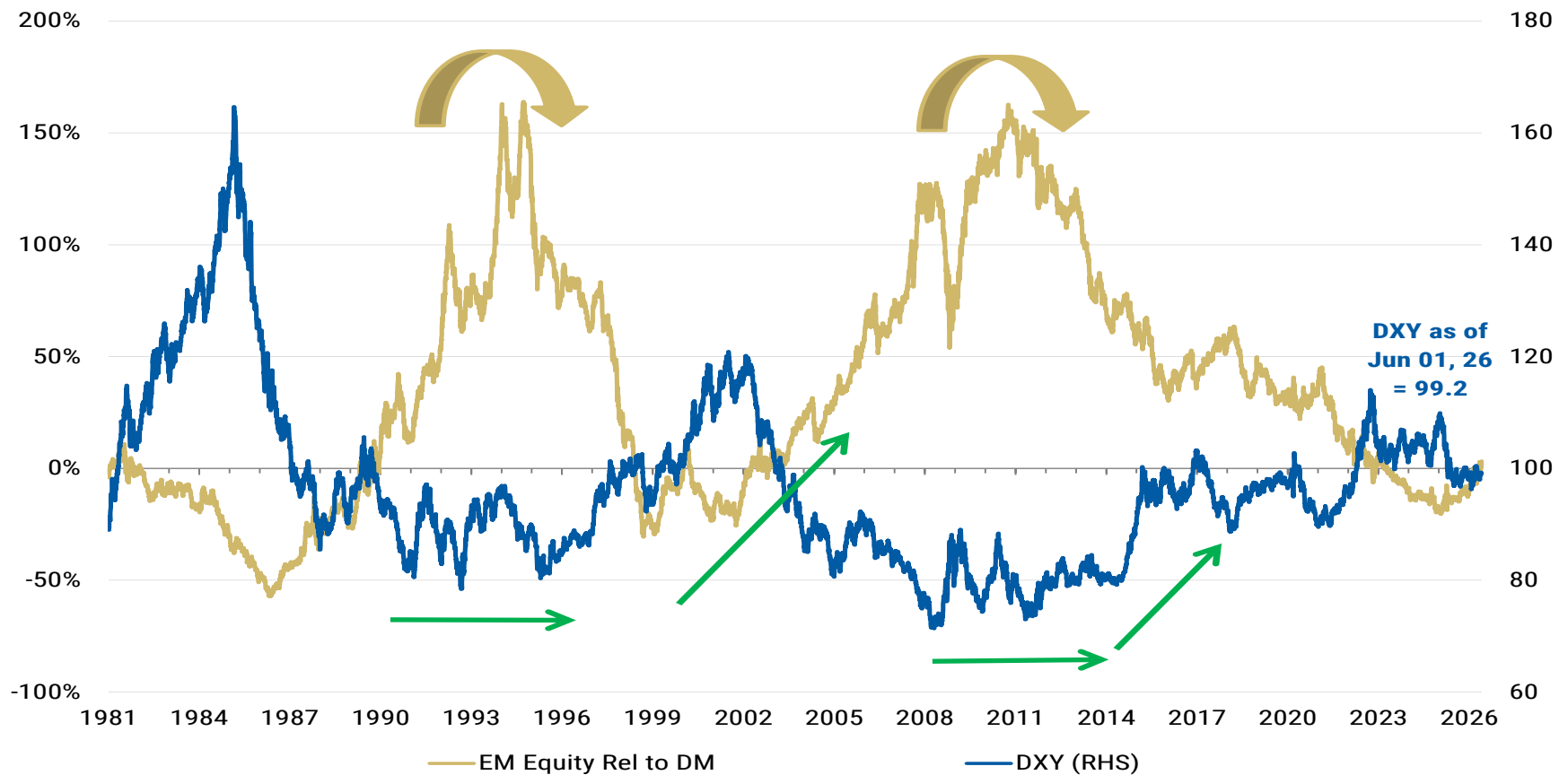
EM Macro, Fiscal, External & Structural Features – Considerable Heterogeneity Across Multiple Dimensions Argues Against the Concept of EM Convergence

	Macro Indicators			Fiscal Indicators				External Indicators			Structural Features	
Market	GDP per capita, 2025	GDP vol, 10y	CPI vol, 10y	Govt. debt, 2025	Govt. ext debt, 2025	Fiscal balance, 2025	Interest/r evenues, 2025	CAB+FDI, 2025	Liquidity ratio, 2025	Reserves / CXP 2025	Corrupt. Percept. Index	V-Dem Democracy Score
Brazil	10,386	2.1	2.4	79	9	-8.0	20.0	-1.0	123	8.3	35	0.8
Chile	17,953	4.2	2.9	42	16	-2.4	5.1	-0.7	78	4.1	63	0.8
China	13,852	1.9	1.0	69	3	-8.4	5.2	2.8	211	11.9	43	0.1
Colombia	8,554	4.6	3.1	59	24	-5.5	12.9	-0.2	102	7.0	37	0.7
Egypt	3,227	1.2	9.6	81	38	-6.6	62.6	-1.0	98	4.5	30	0.2
Hungary	25,284	3.5	5.6	74	35	-5.0	10.7	-1.9	131	3.4	40	0.5
India	2,843	4.4	1.3	81	4	-7.3	23.4	-0.7	218	7.4	39	0.5
Indonesia	5,002	2.2	0.9	41	17	-2.8	17.1	0.6	106	5.1	34	0.6
Mexico	14,263	3.8	1.5	53	13	-4.7	17.4	1.7	140	3.8	27	0.6
Peru	9,514	5.9	2.2	30	22	-2.3	8.6	5.2	259	10.6	30	0.7
Philippines	4,275	5.0	1.7	55	18	-4.2	12.8	-1.4	261	7.1	32	0.5
Poland	28,559	2.7	4.3	59	17	-7.1	6.6	1.0	159	5.6	53	0.7
Qatar	67,930	2.4	2.2	48	18	2.6	5.7	12.8	64	6.1	58	0.1
Saudi Arabia	35,188	4.2	1.8	31	17	-5.1	4.9	-2.8	200	12.8	57	0.0
South Africa	6,764	2.8	1.3	79	20	-4.8	19.3	0.0	100	5.6	41	0.7

Source: Fitch, OECD, V-Dem Democracy Score - see <https://www.v-dem.net/>), Corruption Perception Index - see <https://www.transparency.org/>, Morgan Stanley Research forecasts

Morgan Stanley

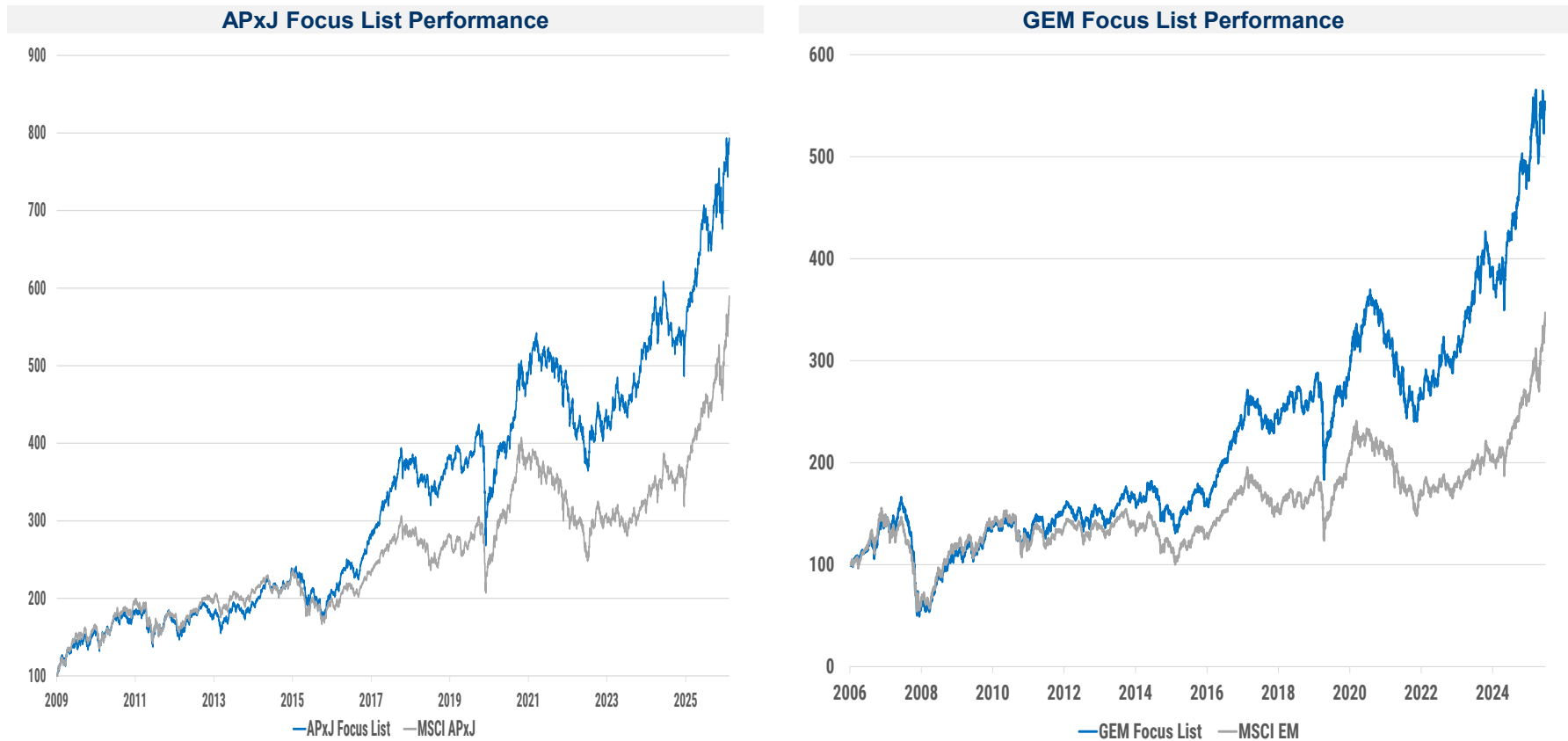
EM vs. DM Equity Relative Performance vs. DXY – A Stronger Dollar Would Generate a Headwind to EM Performance Relative to DM



Source: Datastream, FactSet, Morgan Stanley Research forecasts. Note: Data as of Jun 1, 2026.

Morgan Stanley

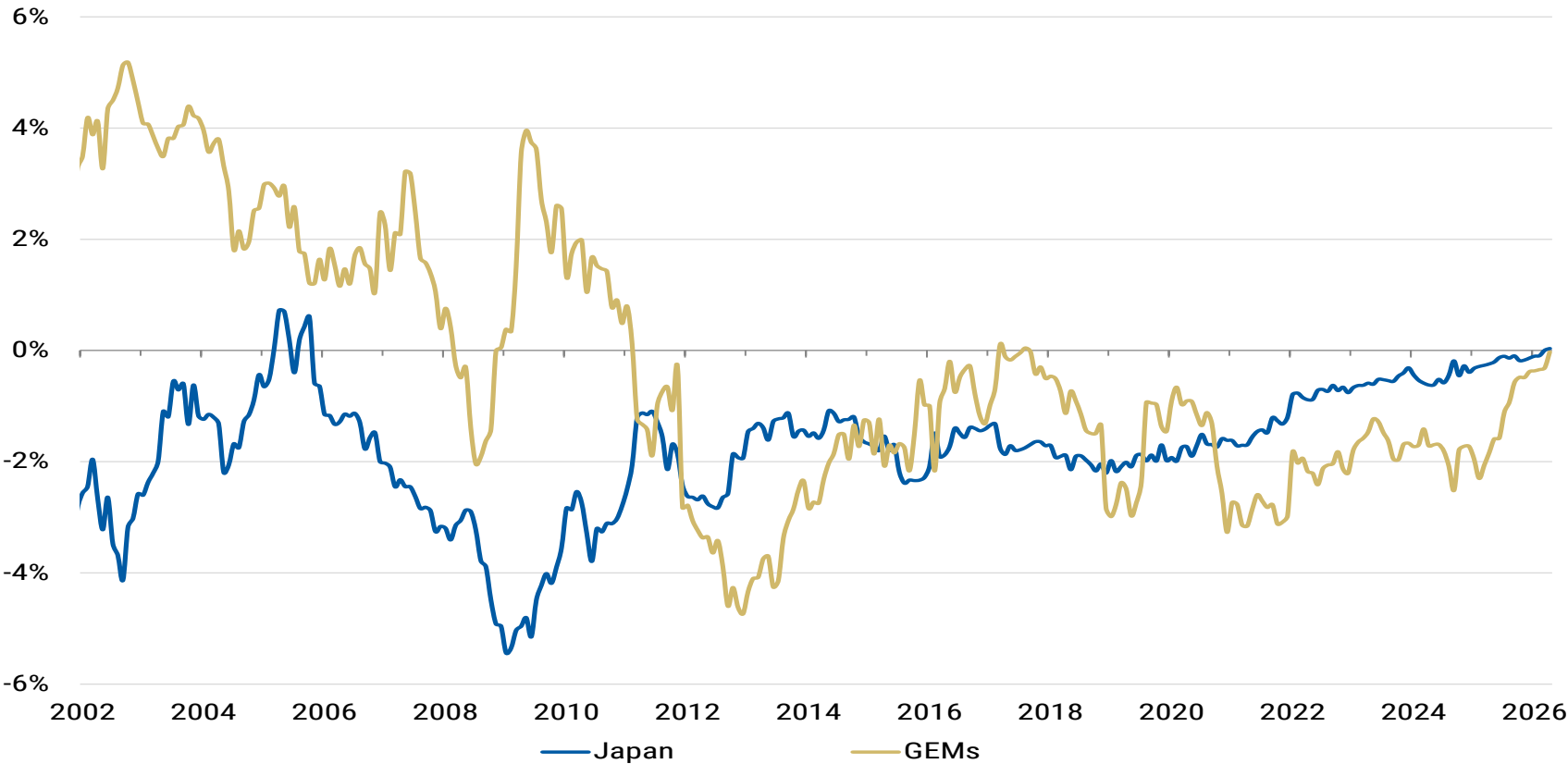
Morgan Stanley APxJ and GEM Focus Lists – Cumulative Total Returns Since Inception



Source: Bloomberg, MSCI, Morgan Stanley Research. Note: MS APxJ Focus List delivered a Sharpe Ratio of 2.09 in the last 12 months, with a CAGR of 12.9% since its inception on May 23, 2009; MS GEM Focus List delivered a Sharpe Ratio of 1.89 in the last 12 months, with a CAGR of 9.2% since its inception on December 11, 2006. Data as of Jun 2, 2026; Past performance is no guarantee of future results.

Morgan Stanley

Global Equity Funds Positioning – Structural Allocation to Japan; Recent Surge in Interest in EM



Source: EPFR Global, Country Allocation Database, Morgan Stanley Research. Note: Fund Weights as of April end 2026. Global long-only funds sample benchmarked to MSCI World, MSCI ACWI ex-USA and MSCI EAFE.

Morgan Stanley

Active Fund Positions in EM Equities by Market and Changes QTD

Market	International & US Funds				International Funds - UCITS			US Funds		
	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD
Brazil	8.6%	4.7%	4.0%	-0.5%	7.4%	2.8%	-0.6%	9.1%	4.4%	-0.4%
Mexico	2.8%	1.9%	1.0%	-0.2%	2.5%	0.6%	-0.2%	3.0%	1.1%	-0.2%
Hungary	1.0%	0.4%	0.7%	0.0%	1.1%	0.8%	0.1%	1.0%	0.6%	0.0%
Korea	19.3%	18.7%	0.6%	0.1%	20.4%	1.7%	0.1%	18.9%	0.2%	0.0%
Peru	0.9%	0.4%	0.5%	-0.1%	0.8%	0.4%	-0.1%	0.9%	0.5%	-0.1%
Turkey	0.9%	0.5%	0.5%	0.0%	0.8%	0.3%	0.0%	1.0%	0.6%	0.0%
United Arab Emirates	1.6%	1.2%	0.4%	-0.1%	1.3%	0.1%	0.0%	1.8%	0.6%	-0.1%
Greece	0.9%	0.5%	0.4%	-0.1%	0.8%	0.4%	0.0%	0.9%	0.4%	-0.1%
Indonesia	1.1%	0.7%	0.4%	-0.1%	1.1%	0.3%	-0.1%	1.1%	0.4%	-0.2%
Philippines	0.6%	0.3%	0.3%	-0.1%	0.4%	0.1%	0.0%	0.7%	0.4%	-0.1%
Thailand	1.0%	1.0%	0.0%	-0.1%	1.0%	0.0%	-0.1%	1.0%	0.0%	-0.1%
Egypt	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%
Czech Republic	0.0%	0.1%	-0.1%	0.0%	0.1%	0.0%	0.0%	0.0%	-0.1%	0.0%
Colombia	0.0%	0.1%	-0.1%	0.0%	0.1%	-0.1%	0.0%	0.0%	-0.1%	0.0%
South Africa	3.1%	3.3%	-0.2%	0.0%	3.3%	0.1%	0.0%	3.0%	-0.3%	0.0%
Poland	0.8%	1.1%	-0.3%	0.0%	1.3%	0.2%	0.0%	0.6%	-0.4%	0.0%
Chile	0.2%	0.5%	-0.3%	0.0%	0.4%	-0.1%	0.0%	0.2%	-0.3%	0.0%
India	11.6%	11.9%	-0.4%	-0.2%	10.2%	-1.8%	-0.2%	12.1%	0.2%	-0.1%
Qatar	0.1%	0.5%	-0.4%	0.1%	0.1%	-0.4%	0.0%	0.1%	-0.4%	0.1%
Kuwait	0.1%	0.6%	-0.5%	0.1%	0.1%	-0.5%	0.0%	0.1%	-0.5%	0.1%
Malaysia	0.3%	1.1%	-0.8%	0.1%	0.6%	-0.5%	0.0%	0.2%	-0.9%	0.1%
Saudi Arabia	1.4%	2.6%	-1.2%	0.1%	1.1%	-1.6%	0.2%	1.5%	-1.1%	0.1%
Taiwan	23.2%	24.8%	-1.7%	0.4%	24.0%	-0.8%	0.3%	22.8%	-2.0%	0.4%
China	20.3%	23.0%	-2.7%	0.5%	21.2%	-1.8%	0.5%	20.0%	-3.0%	0.5%

Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of April 30, 2026. Please contact us if you would like to receive the full table. For more details see Asia EM Equity Strategy: Flows & Positioning Guide (6 May 2026).

Morgan Stanley

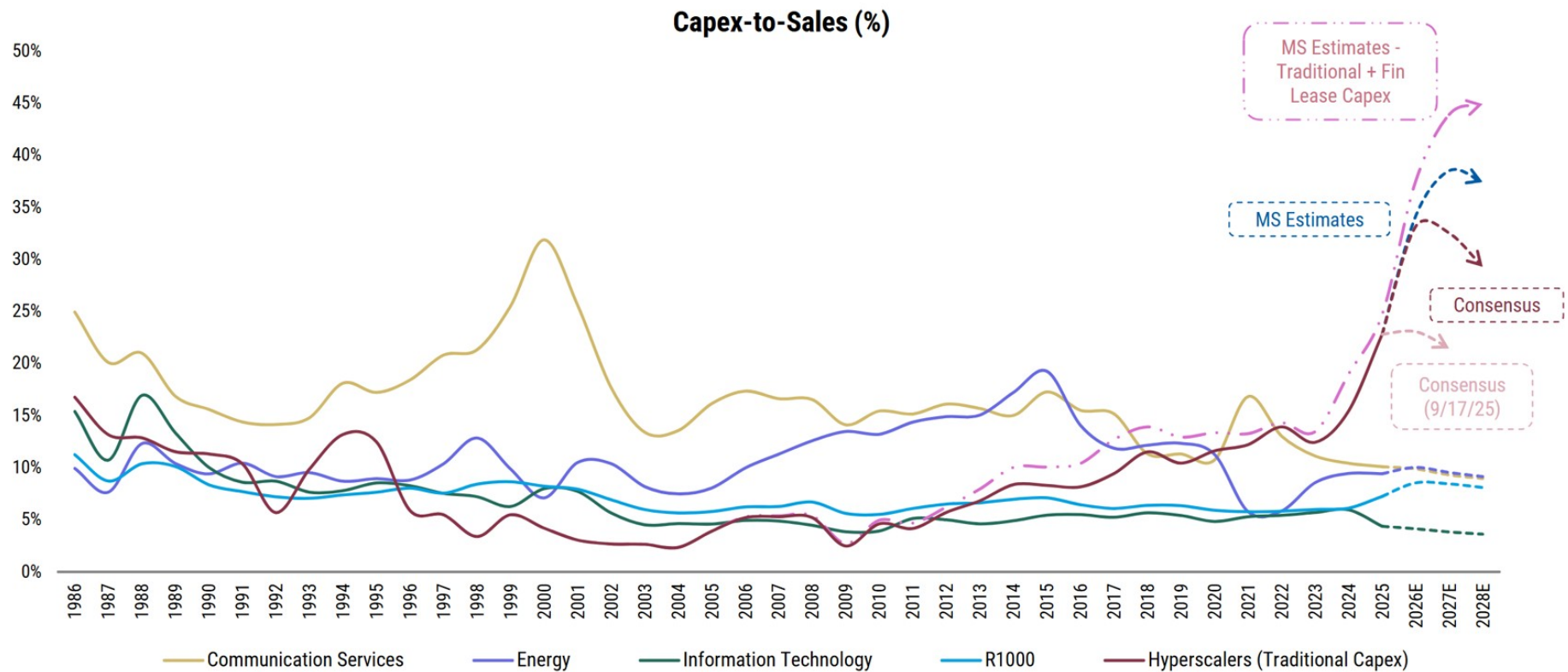
Active Fund Positions in EM Equities by GICS Industry Group and Changes QTD

GICS Industry Group	International & US Funds				International Funds - UCITS			US Funds		
	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD
Capital Goods	8.2%	6.0%	2.1%	0.1%	7.8%	1.7%	-0.3%	8.3%	2.3%	0.2%
Semiconductors & Semiconductor Equipment	23.0%	21.6%	1.4%	0.3%	20.6%	-1.0%	-0.1%	23.9%	2.3%	0.4%
Financial Services	2.9%	2.5%	0.5%	-0.1%	3.1%	0.7%	0.0%	2.9%	0.4%	-0.2%
Consumer Durables & Apparel	1.2%	0.7%	0.4%	-0.1%	1.4%	0.6%	0.0%	1.1%	0.4%	-0.1%
Food Beverage & Tobacco	2.4%	2.0%	0.4%	0.0%	1.7%	-0.3%	0.1%	2.7%	0.7%	0.0%
Consumer Staples Distribution & Retail	1.0%	0.8%	0.3%	-0.1%	1.1%	10.3%	-0.1%	1.0%	0.2%	-0.1%
Transportation	1.7%	1.4%	0.3%	-0.1%	1.3%	-0.1%	0.0%	1.8%	0.4%	-0.1%
Media & Entertainment	4.9%	4.7%	0.2%	-0.1%	4.5%	-0.2%	0.0%	5.0%	0.3%	-0.1%
Health Care Equipment & Services	0.7%	0.6%	0.2%	0.0%	0.6%	0.1%	0.0%	0.7%	0.2%	0.0%
Telecommunication Services	2.4%	2.2%	0.1%	-0.1%	2.1%	-0.1%	-0.1%	2.5%	0.2%	-0.1%
Commercial & Professional Services	0.1%	0.0%	0.1%	0.0%	0.1%	0.1%	0.0%	0.1%	0.1%	0.0%
Equity Real Estate Investment Trusts (REITs)	0.1%	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%
Energy	3.9%	4.0%	0.0%	0.0%	2.7%	-1.3%	0.0%	4.4%	0.5%	0.0%
Real Estate Management & Development	1.0%	1.0%	0.0%	0.0%	1.2%	0.2%	0.1%	0.9%	-0.1%	0.0%
Insurance	2.5%	2.5%	0.0%	0.0%	2.6%	0.1%	-0.1%	2.4%	-0.1%	0.0%
Banks	14.6%	14.7%	-0.1%	-0.1%	15.1%	0.4%	-0.4%	14.4%	-0.2%	0.0%
Utilities	2.1%	2.2%	-0.1%	0.1%	1.4%	-0.9%	0.1%	2.4%	0.2%	0.2%
Household & Personal Products	0.3%	0.4%	-0.1%	0.0%	0.3%	-0.1%	0.0%	0.3%	-0.1%	0.0%
Pharmaceuticals Biotechnology & Life Sciences	2.0%	2.2%	-0.2%	0.0%	1.9%	-0.3%	0.0%	2.0%	0.2%	0.0%
Consumer Services	1.0%	1.4%	-0.4%	-0.1%	1.1%	-0.2%	0.0%	1.0%	-0.4%	-0.1%
Automobiles & Components	2.4%	2.9%	-0.6%	0.0%	3.2%	10.2%	0.0%	2.1%	-0.9%	0.0%
Consumer Discretionary Distribution & Retail	3.7%	4.4%	-0.6%	0.0%	4.4%	0.0%	-0.1%	3.5%	-0.9%	0.0%
Software & Services	0.6%	1.3%	-0.6%	0.1%	0.8%	-0.5%	0.1%	0.6%	-0.7%	0.1%
Technology Hardware & Equipment	12.7%	13.9%	-1.2%	0.0%	16.5%	2.7%	0.8%	11.2%	-2.7%	-0.3%
Materials	4.6%	6.5%	-1.9%	0.1%	4.4%	-2.2%	0.1%	4.7%	-1.8%	0.1%

Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of April 30, 2026. Please contact us if you would like to receive the full table. For more details see [Asia EM Equity Strategy: Flows & Positioning Guide \(6 May 2026\)](#).

Morgan Stanley

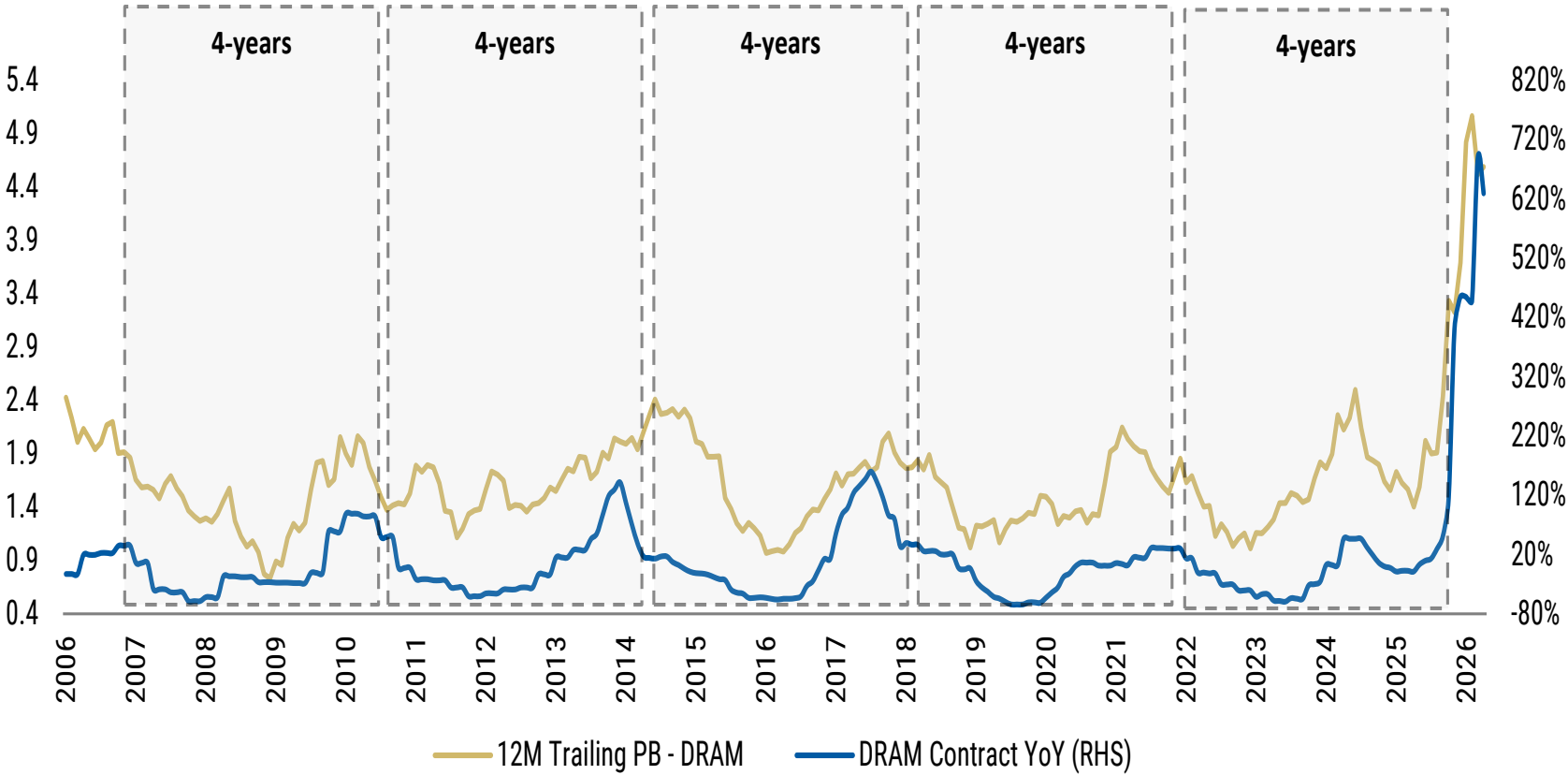
Capital Intensity — Hyperscaler Capex Spending Poised to Overtake Dot-Com Peak, Based on MSe, Particularly Factoring in Widespread Lease Utilisation



Source: The hyperscalers group includes AMZN, GOOGL, META, MSFT, & ORCL and are excluded from the other sector groups. Only MSFT and ORCL finance lease estimates are included. R1000 excludes Real Estate and Financials. Source: Morgan Stanley Estimates and FactSet

Morgan Stanley

12-Month Trailing P/B – DRAM vs DRAM Contract Price YoY (RHS) – Contract Prices Have Surged, But Valuations Tend to Peak Before Fundamentals



Source: DRAMxChange, TrendForce, Morgan Stanley Asia Technology Research, Data as of April 30, 2026.

EM Sector Valuation Dashboard

MSCI EM Sectors & Industry Groups		Automobiles & Components	Cons. Discret. Retailing	Durables & Apparel	Consumer Staples	Consumer Services	Telecoms	Media & Entertainment	Software & Services	Semiconductors & Equipment	Tech Hardware & Equipment	Financials	Real Estate	Health Care	Utilities	Energy	Materials	Industrials
MS Rating		UW	EW	UW	UW	UW	EW	EW	UW	EW	OW	EW	EW	EW	EW	OW	OW	OW
Index Weight	% of MSCI EM	2.8%	3.6%	0.8%	2.7%	1.1%	2.0%	4.0%	1.1%	25.7%	17.6%	17.5%	1.0%	2.3%	1.9%	3.3%	5.8%	6.8%
Earnings Revisions & Growth	CY2 EPS Revision Breadth (3ma)	-18%	-13%	4%	-10%	-19%	-9%	-21%	-16%	30%	43%	-1%	-9%	-12%	-15%	14%	13%	-3%
	3m Δ of 12mf EPS	-2%	-5%	-1%	-1%	-5%	1%	-1%	-10%	19%	54%	1%	0%	1%	-1%	22%	9%	9%
	12mf EPS growth	25%	26%	18%	13%	43%	18%	10%	16%	62%	101%	8%	6%	15%	14%	14%	102%	27%
ROE	Level	8.7%	10.6%	14.5%	15.9%	4.9%	14.9%	15.1%	15.0%	32.4%	15.7%	12.4%	8.9%	11.0%	11.2%	12.6%	11.1%	13.6%
	10yr %ile	54%	45%	58%	94%	31%	96%	90%	2%	98%	88%	88%	34%	64%	89%	65%	62%	88%
12mf PE	Level	15.7x	12.0x	16.9x	17.8x	19.2x	16.0x	12.6x	21.5x	15.3x	11.1x	9.0x	10.2x	25.4x	12.0x	9.0x	11.2x	16.1x
	10yr %ile	79%	22%	69%	2%	23%	69%	2%	20%	49%	35%	69%	72%	30%	76%	69%	44%	95%
P/Book	Level	2.0x	1.8x	2.8x	3.4x	2.2x	2.9x	2.4x	4.2x	10.0x	4.6x	1.2x	1.1x	3.8x	1.5x	1.4x	2.1x	2.7x
	10yr %ile	94%	3%	50%	11%	16%	88%	3%	4%	98%	98%	74%	49%	55%	91%	95%	93%	98%
P/Sales	Level	1.0x	1.1x	1.2x	1.1x	1.8x	2.3x	4.0x	3.0x	12.8x	2.5x	1.7x	1.7x	3.3x	1.3x	0.9x	1.7x	1.8x
	10yr %ile	83%	18%	78%	3%	2%	93%	18%	4%	99%	99%	93%	76%	79%	88%	90%	96%	99%
Div Yield	Level	1.5%	1.2%	2.4%	3.2%	1.2%	3.3%	1.2%	3.1%	0.8%	0.8%	3.9%	3.9%	1.1%	3.4%	4.1%	2.6%	1.6%
	10yr %ile	21%	70%	80%	98%	85%	41%	98%	98%	1%	1%	64%	50%	81%	61%	41%	15%	9%
Technicals	30 day RSI	53	38	67	28	31	47	36	42	81	79	34	46	31	28	43	35	58
	50dma / 200 dma	5%	-11%	0%	-2%	-11%	2%	-16%	-14%	34%	39%	2%	-5%	-3%	4%	9%	7%	13%
Perf.	1m	7%	-4%	16%	-4%	-8%	0%	-3%	3%	29%	40%	-1%	1%	-4%	-5%	-7%	-2%	1%
	3m	-4%	-12%	8%	-8%	-11%	-4%	-14%	-9%	42%	54%	-7%	-11%	-10%	-3%	0%	-14%	3%
	YTD	10%	-14%	15%	-4%	-22%	2%	-24%	-23%	91%	121%	-1%	-3%	-4%	6%	9%	4%	22%

Source: Factset, Morgan Stanley Research, Data as of Jun 1, 2026

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Asia's Import Dependence on Middle East (as % of Domestic Consumption)

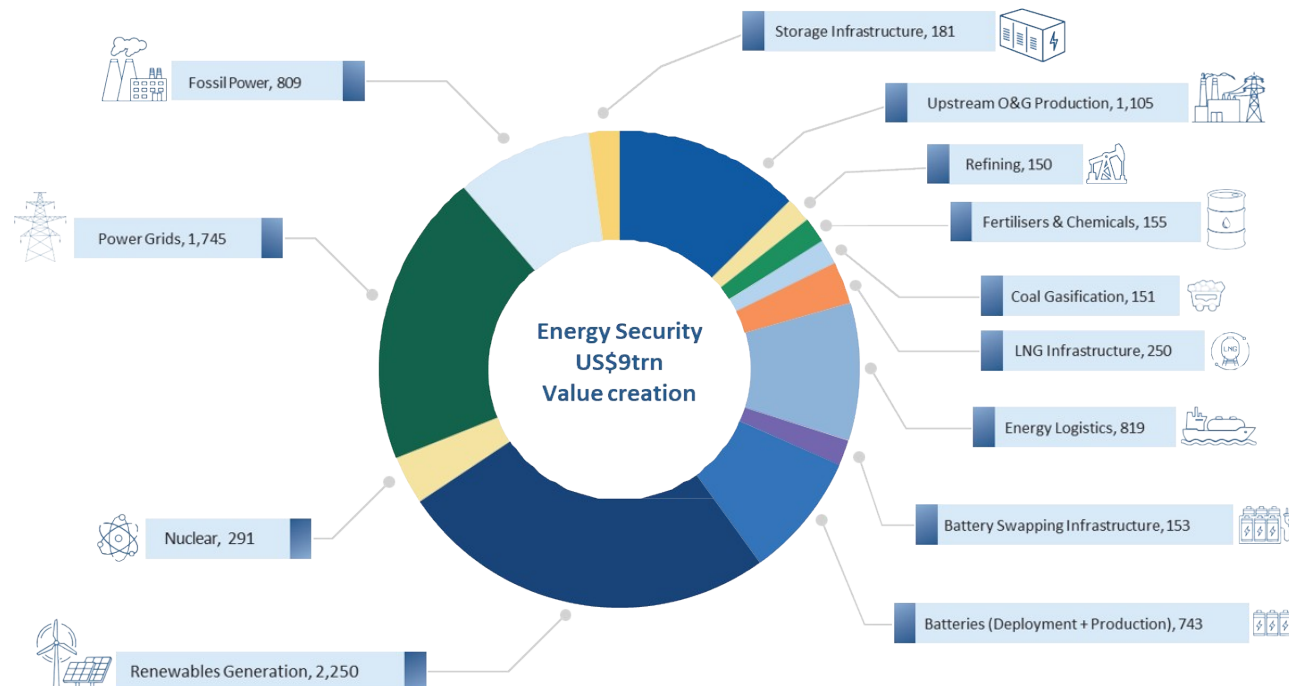
Economy	Crude Oil*	Petroleum Products	Natural Gas	Propane	Fertilizers
China	43%	4%	6%	13%	1%
India	42%	13%	31%	32%	9%
Japan	93%	8%	11%	3%	11%
South Korea	67%	3%	30%	11%	19%
Taiwan	36%	10%	28%	6%	19%
Thailand	55%	9%	8%	15%	12%
Indonesia	NA	17%	Net Exporter	31%	6%
Malaysia	NA	18%	Net Exporter	7%	13%
Philippines	34%	34%	40%	14%	24%
Singapore	58%	21%	16%	NA	NA
Australia	4%	2%	Net Exporter	NA	37%
Asia Average Exposure	48%	13%	21%	15%	15%

Source: Ministry of Energy, EPPO Thailand, ESDM, PPAC, Customs, IEA, Statistical Review of World Energy, Bloomberg, Refinitiv, Argus, Reuters, Morgan Stanley Research estimates

Note: *Crude oil imports from Middle East as a percentage of refining throughput

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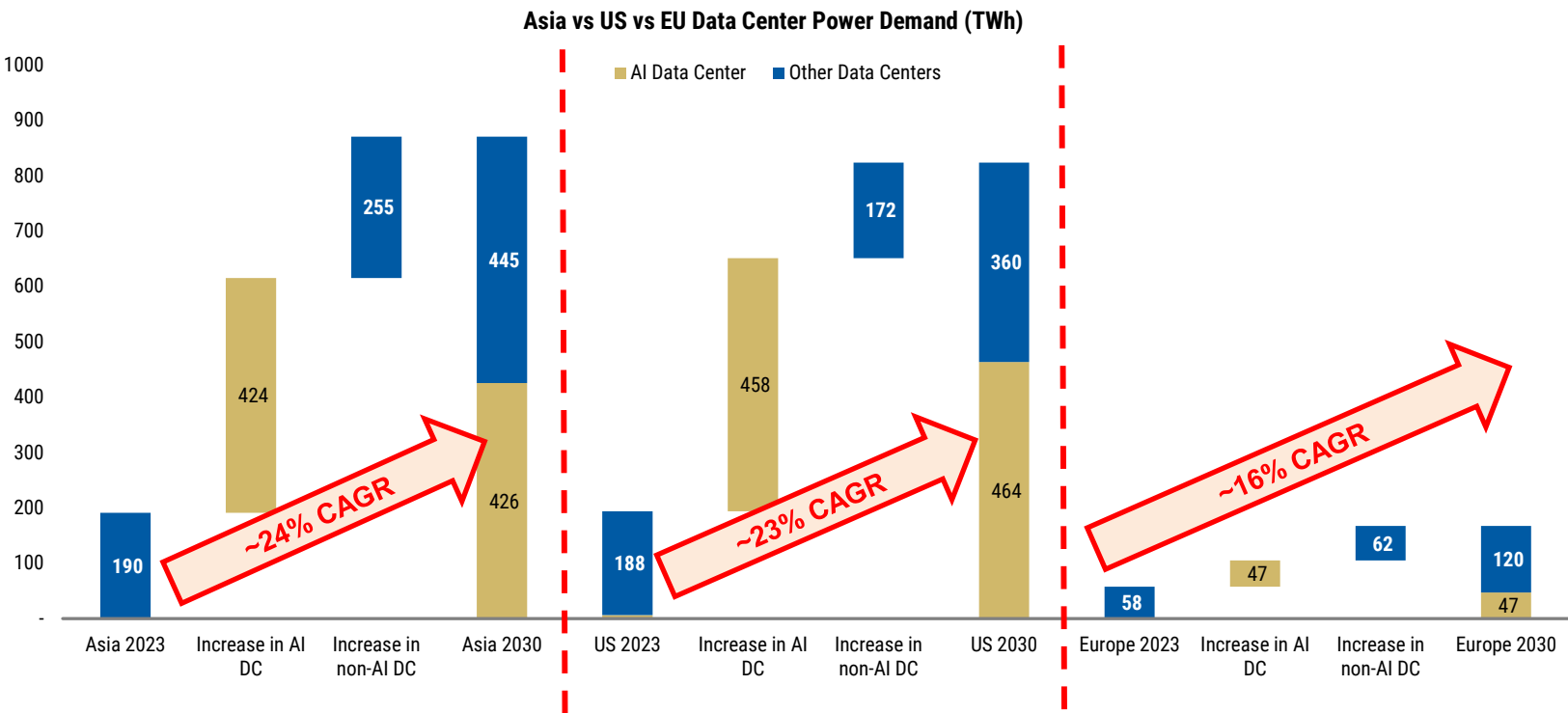
Energy Security & AI: The US\$9trn Value Creation Opportunity in Asia



We see a nearly 1.6x torque to the value creation as US\$5trn+ in investments across the region to ensure security of tech, AI, food, and energy supply chains, unlocking US\$9trn in value.

Source: Morgan Stanley Research estimates.

Powering AI: Asia vs US vs Europe Data Center Power Demand

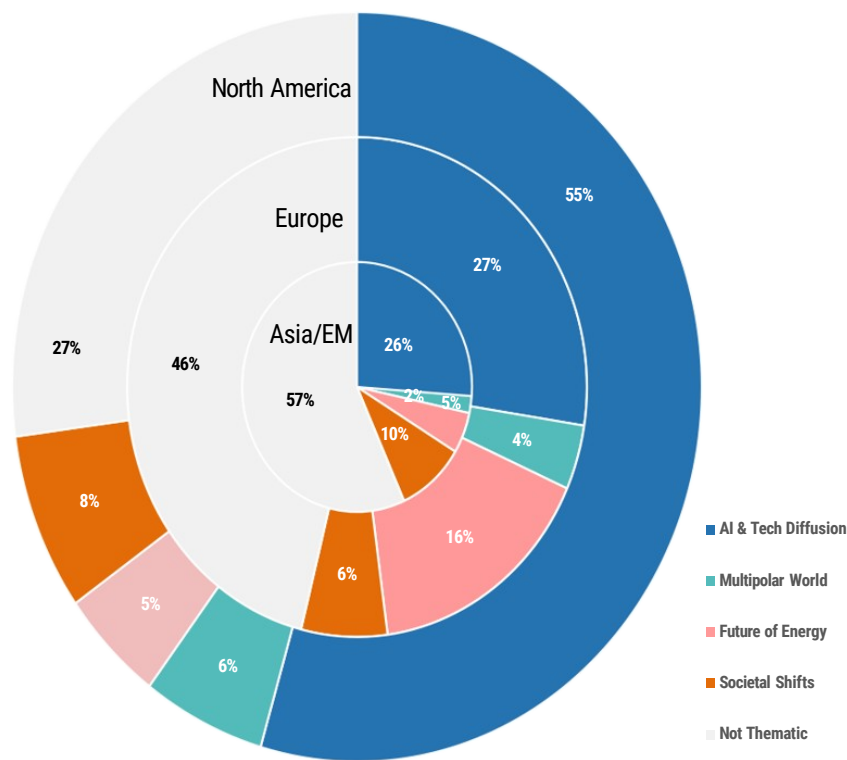


We estimate Asia's DC power demand CAGR to be ~24% over 2023-30, exceeding that of the US and Europe, driven by faster AI inference demand and more investments committed to the region

Source: Morgan Stanley Research estimates.

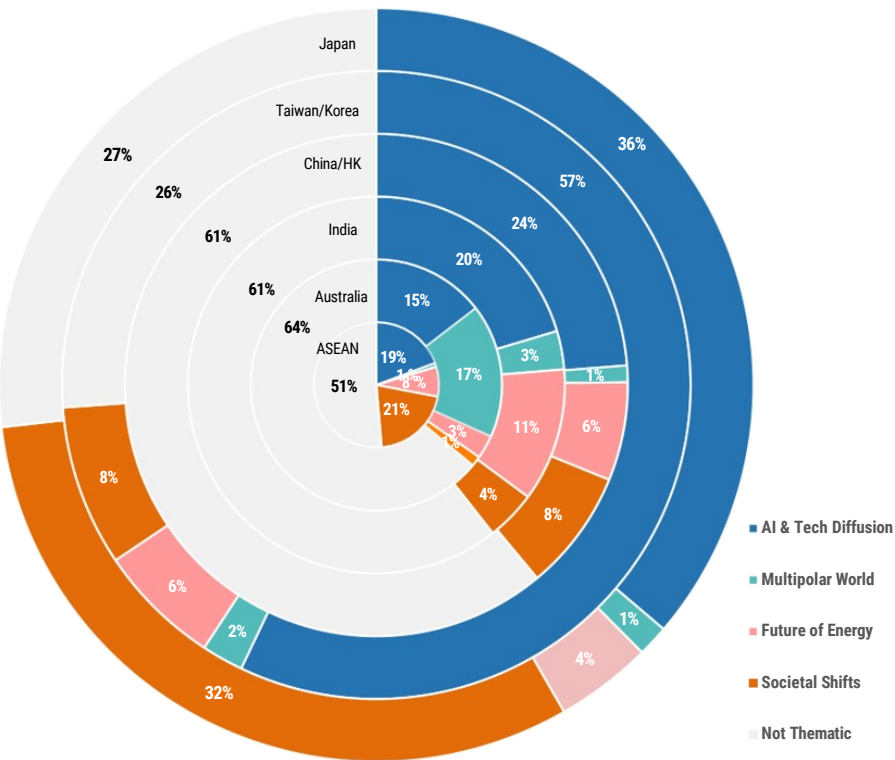
Global Thematic Equity Exposure – Assessing Relative Breadth Across Regions/Markets

Thematic Exposure by Region – North America has significant exposure to AI & Tech Diffusion



Source: Morgan Stanley Research. Note: Stocks mapped to multiple themes have a pro-rated share assigned to each

Thematic Exposure in Asia Pacific – Japan, Taiwan and Korea have the highest concentration of opportunity



Source: Morgan Stanley Research; Note stocks mapped to multiple themes have a pro-rated share assigned to each. We include Corporate Reform sub-themes in Asia/EM

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Ranking Morgan Stanley's Sub-themes by Growth, Valuation and Reward/Risk

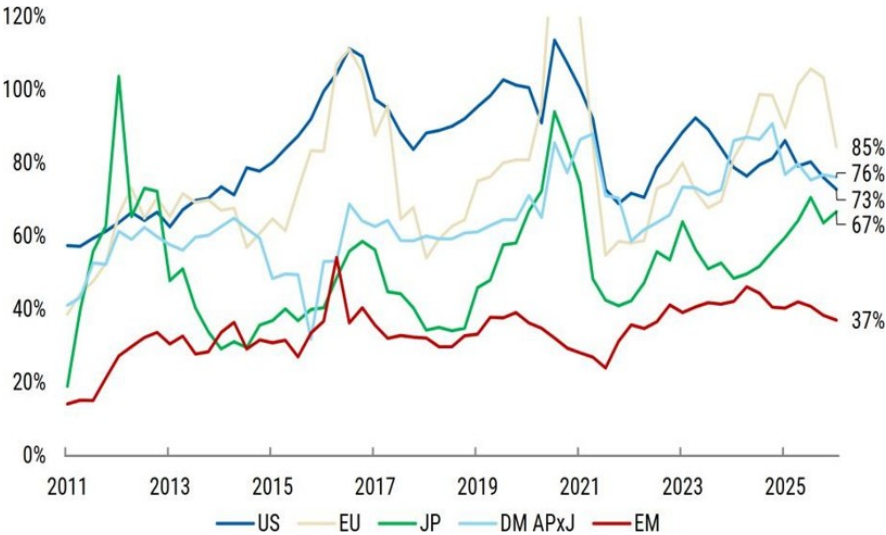
Theme	Sub-Theme	Avg Rank	Sales Growth CAGR	EPS Growth CAGR	P/E vs Themes	P/Sales vs Themes	EV/EBITDA vs Themes	P/E vs History	P/Sales vs History	EV/EBITDA vs History	Upside to Base TP	Upside to Bull TP	Bull-Bear Skew
AI/TD	China's AI Path	1	6	4	22	16	21	7	4	3	6	4	5
Societal Shifts	AI & Healthcare	1	16	17	17	14	17	2	2	5	4	2	2
AI/TD	Asian AI Adoption Leaders	3	10	9	24	19	27	4	3	7	2	3	4
Societal Shifts	Diabetes Ecosystem	4	25	23	11	13	20	1	1	2	17	13	11
Societal Shifts	Japan Longevity	5	32	29	18	11	15	3	10	1	10	8	6
AI/TD	AI Adopters	6	20	14	15	21	13	5	8	6	16	17	13
Societal Shifts	China's SOE Reform	7	33	33	1	7	3	17	22	16	5	5	8
AI/TD	Asia's Technology Advances	8	5	5	30	28	29	10	9	13	7	7	9
Societal Shifts	Smart Chemo	9	23	22	11	34	16	14	14	11	3	12	7
FoE	Globalization of Natural Gas	10	34	35	4	9	2	12	21	10	15	22	17
Societal Shifts	Preparing for an Aging Population	11	22	16	5	29	32	13	11	14	20	10	12
Societal Shifts	Japan's Corporate Reform	12	31	27	7	4	8	21	18	9	21	26	15
Societal Shifts	Future of Food and Beverages	13	30	26	20	18	13	8	12	8	23	18	18
FoE	Asia's Climate Adaptation	14	19	18	14	5	11	15	27	35	11	20	21
AI/TD	China's Emerging Frontiers	15	2	2	35	35	35	25	6	15	19	9	27
MPW	The Rise in Defense Spending	16	12	12	31	20	30	33	27	25	12	6	3
Societal Shifts	Korea Reform Renaissance	17	28	30	2	3	1	20	33	12	18	36	31
AI/TD	AI & Tech Diffusion - Asia Pacific	18	9	10	25	23	23	22	20	19	24	21	19
FoE	Energy Security	19	36	36	3	12	5	11	24	18	22	27	24
AI/TD	AI Enablers	20	11	11	27	26	25	19	16	21	25	25	28
FoE	Europe's Low Decarb Diet	21	35	34	6	2	4	24	17	23	30	32	30
MPW	Critical Minerals	22	15	13	26	27	7	29	24	23	33	16	32
Societal Shifts	Asia's Financial Acceleration	23	24	32	8	32	26	28	24	20	14	29	16
FoE	Clean Energy & Storage	24	18	15	21	15	22	23	13	26	36	31	35
MPW	Semiconductor Localisation	25	1	1	36	36	36	26	30	32	27	15	19
FoE	Future of Energy - Asia Pacific	26	26	24	16	10	10	32	33	35	31	23	22
AI/TD	Humanoid 100	27	7	7	32	30	31	27	15	22	32	30	34
MPW	Multipolar World - Asia Pacific	28	3	3	34	31	34	31	31	27	33	19	25
FoE	Power Grid Growth & Evolution	29	8	8	33	24	33	35	32	34	26	24	23
FoE	Nuclear Renaissance	30	27	31	19	17	18	30	35	33	29	33	29
FoE	Powering AI	31	21	21	28	25	24	34	27	30	28	34	33
AI/TD	AI infrastructure	32	4	6	29	33	28	36	35	29	35	35	36

Source: FactSet, Morgan Stanley Research. Note: Data as of May 6, 2026.

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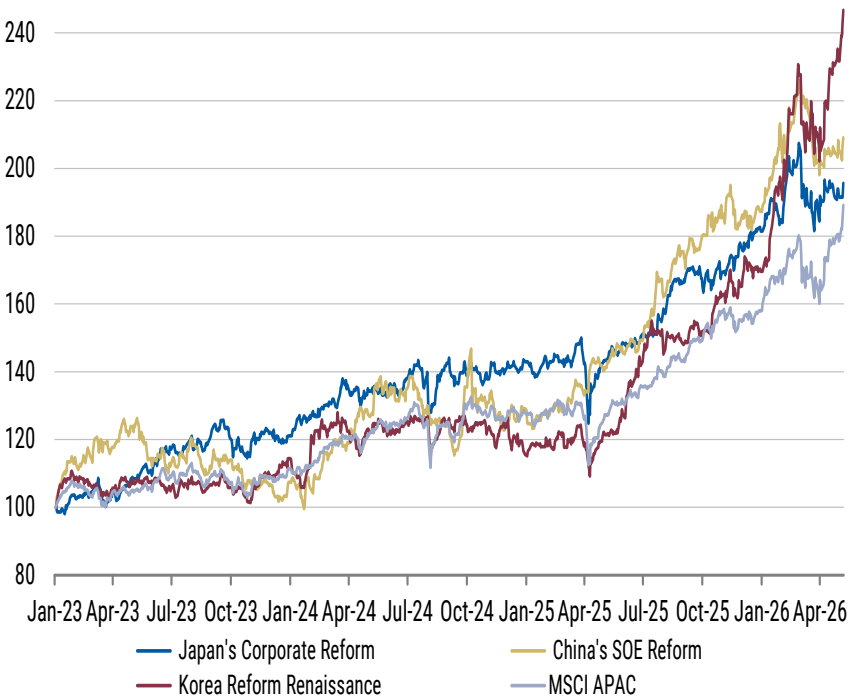
Asia's Competitive Reinvention and Reform Beneficiaries

Total payout ratio trends (dividends + net buybacks) - Japan has more than doubled since Abenomics; EM continues to lag at 37% given high investment



Source: Bloomberg, Morgan Stanley Research. Quarterly data as at September end, 2025.

Corporate reform opportunities have been outperforming across Asia, even in a strong market

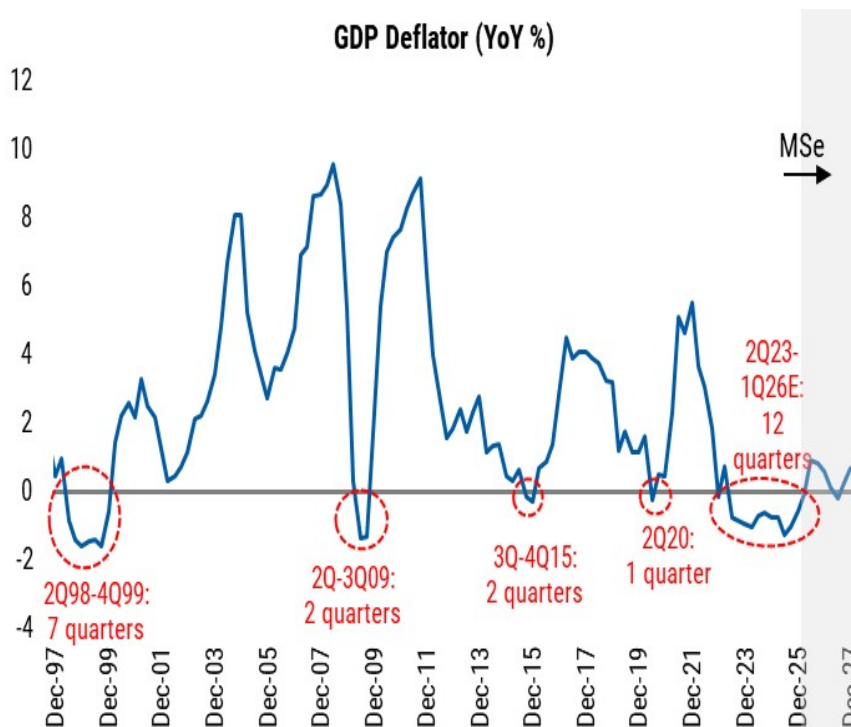


Source: FactSet, Morgan Stanley Research; Data as of May 7, 2026.

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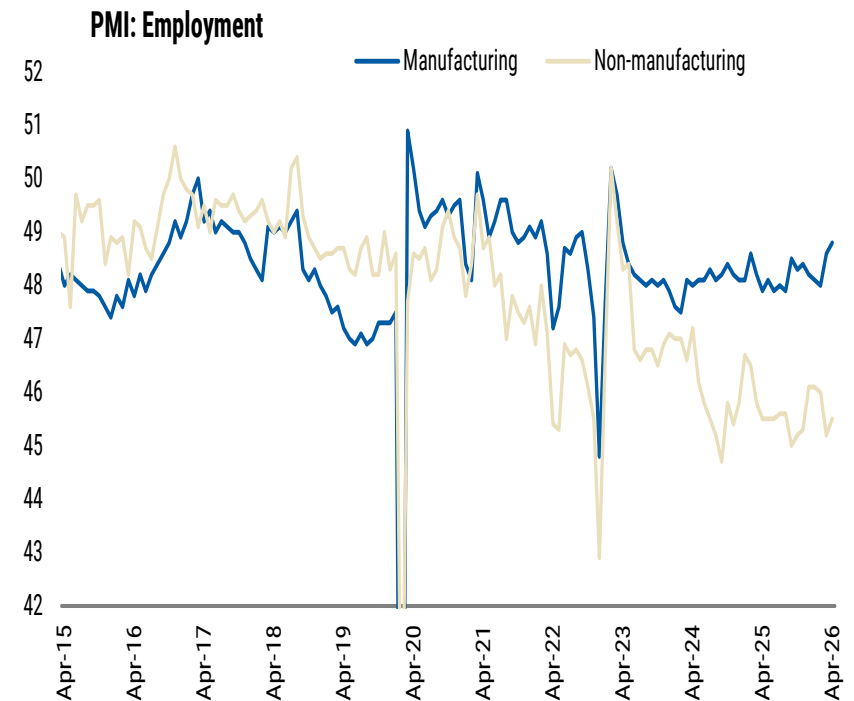
China — Imported Inflation, Not Sustained Reflation

GDP deflator steps out of deflation, but not out of the woods



Source: CEIC, Morgan Stanley Research.

Labor Market remained subdued, led by the service sector

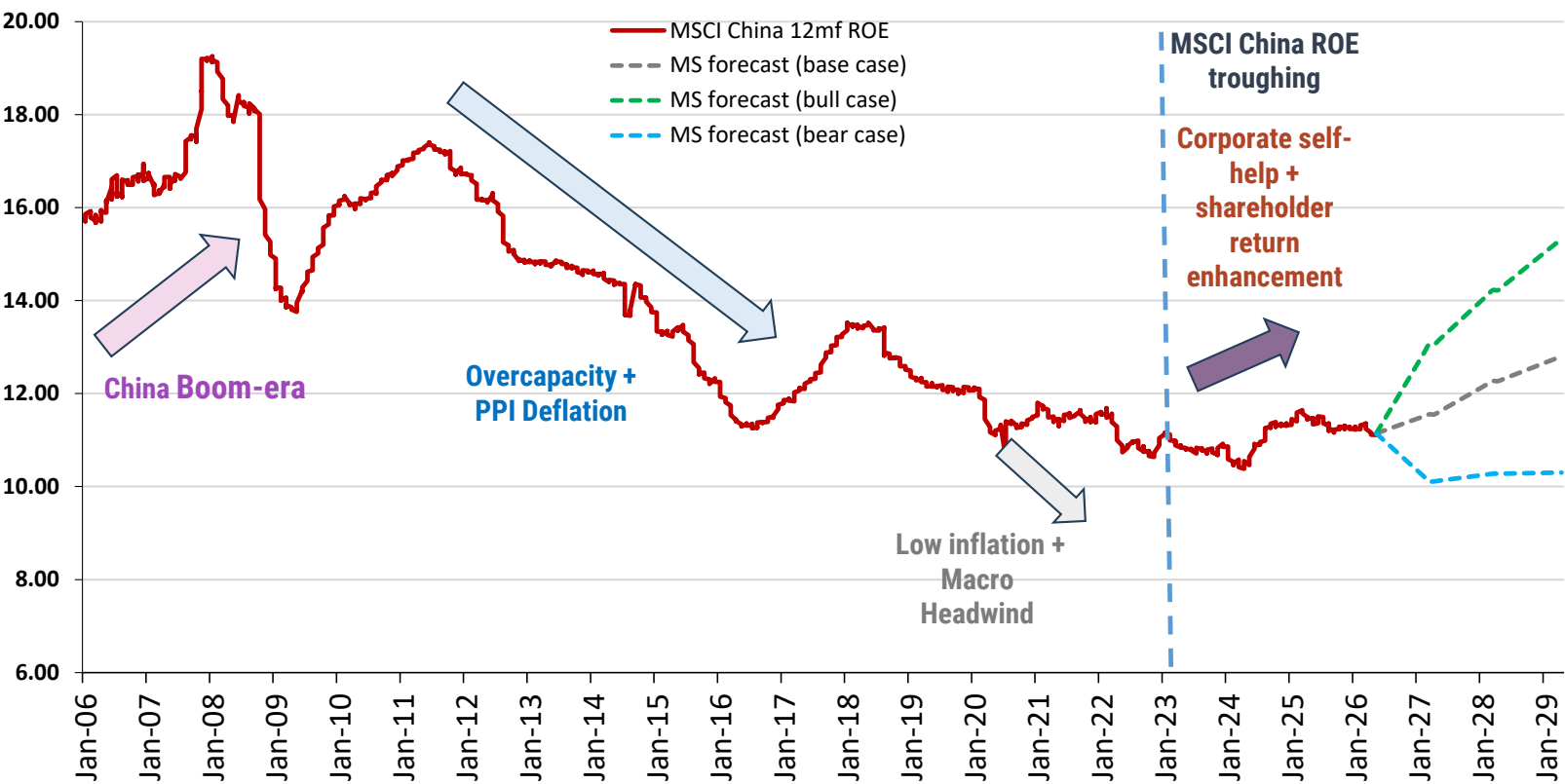


China – Reflation Midway: “5R” Reflation Strategy

Progress by End-2025	Policy Measures	Best Scenario
 Reflation (20-25%)	1.1ppt of GDP widening in the augmented fiscal deficit in 2025 - PBoC cut policy rate by 10bp and RRR by 50bp in 2025.	- A consumption-focused Rmb10trn fiscal package over the next two years. - More meaningful monetary easing measures to lower elevated real interest rates.
 Rebalancing (25-30%)	Consumption support: consumer goods trade-in; wage hike for civil servants. Social welfare: national fertility subsidies; free pre-school education. Anti-involution: current measures mainly center around capacity consolidation and verbal guidance.	- Meaningful rise in social welfare spending to unleash elevated household savings for consumption. - Launch of “Structural Reform 2.0” to reform supply-centric incentives and curb inefficient manufacturing capacity.
 Restructuring (60-80%)	- A 5-year Rmb10trn local government debt swap program. - Wider government bond usage for land and housing inventory buyback. - Rmb300bn in PBoC relending for converting housing inventory to social housing.	- Rmb3-4trn central government/quasi-fiscal funding to help digest housing inventory. - A comprehensive LGFV debt resolution plan to evenly share the burden among central government, local governments, PBoC and banks.
 Reform (25%)	Start of equity market reforms with “Nine-Point Guideline” to promote investment returns.	- SOE reforms to improve public sector productivity. - Fiscal and tax reforms revamp local government incentives and improve the efficiency of resource allocation.
 Rekindle (60-70%)	- President Xi held a symposium with private firms, with Jack Ma included. - New swap and relending facilities to support stock market.	- Clearer signals to end the regulatory reset since 2021. - More efforts to invigorate the capital markets. - Further service sector opening up.

Source: Government websites, Morgan Stanley Research.

MSCI China ROE May Have Troughed Given Bottom-up Progress

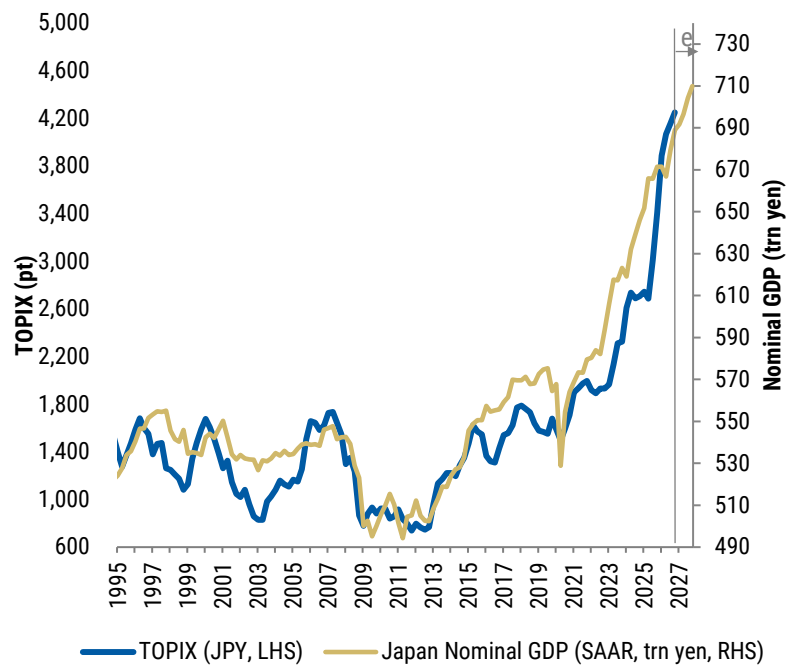


Source: Bloomberg, Morgan Stanley Research. Note: Historical data are weekly as of May 8, 2026.

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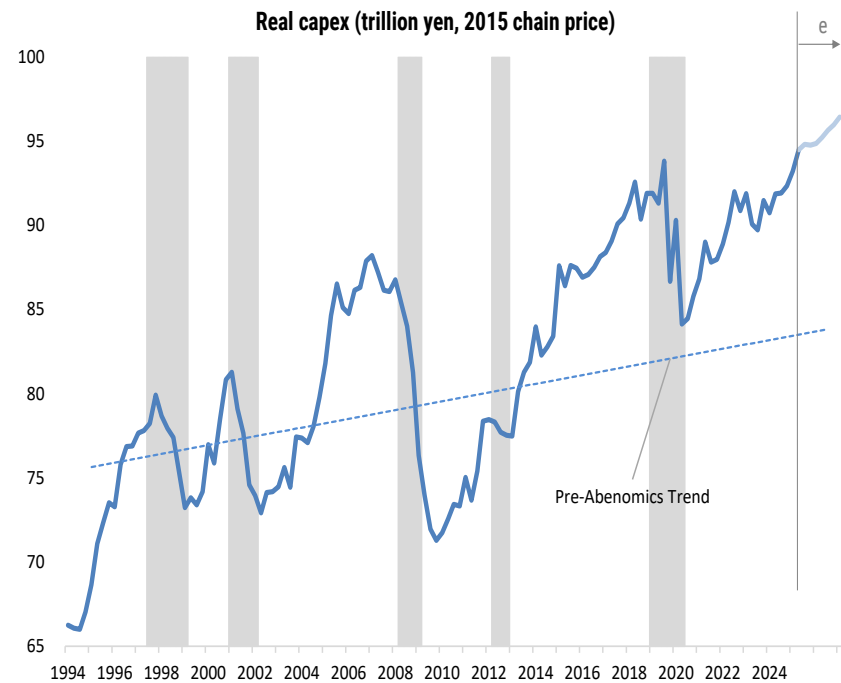
Japan — A Momentous Shift to Sustained Nominal Growth

Japan's Nominal GDP (trn yen) and TOPIX



Source: FAME, Morgan Stanley Japan Economics Research. Note: Nominal GDP from 4Q2025 and beyond shows our forecast.

Real Capex and Our Forecasts (2015 chain price, trn yen) – Capex Trend has Shifted up Even on an Inflation-adjusted Basis

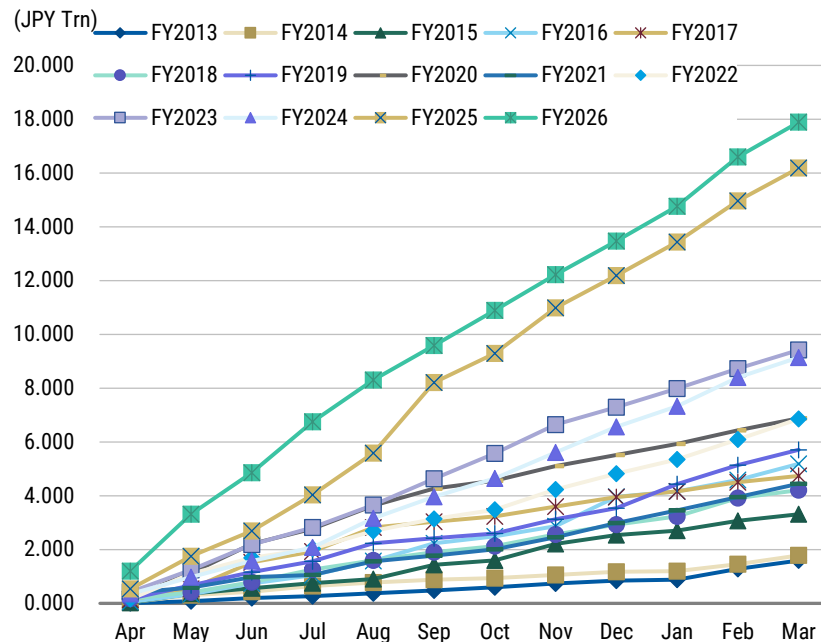


e=Morgan Stanley Research estimates. Shaded bars indicate recession periods.
Source: Cabinet Office, Morgan Stanley Japan Economics Research.

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Japan — Reform and Reflation Remain Supportive, with Underappreciated Fiscal Space

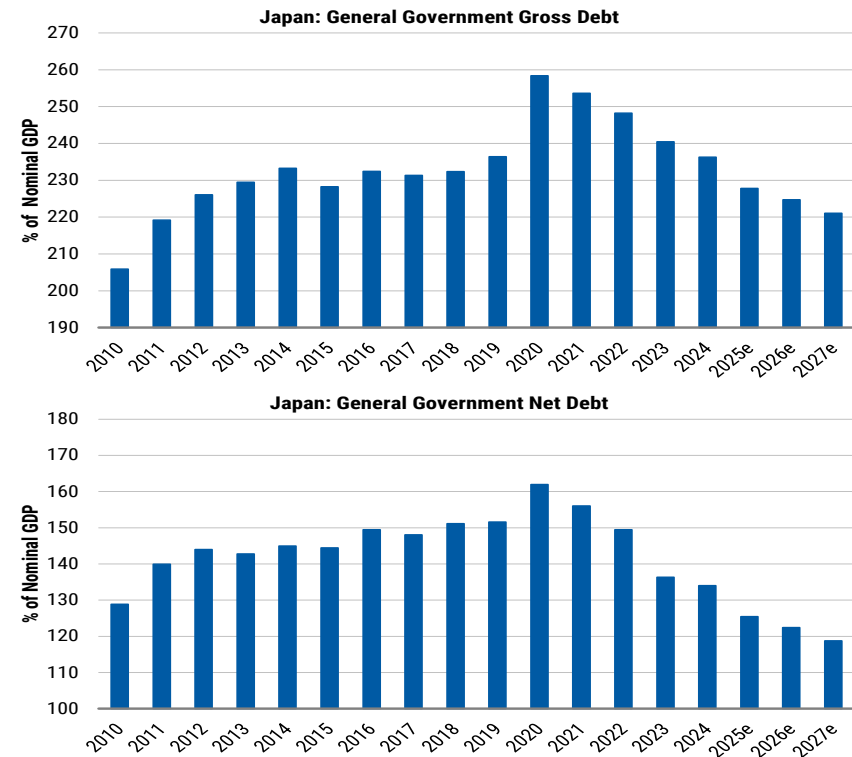
Total Share Buybacks Executed in Japan



Note: The universe consists of former TSE1 and current Prime Market firms. The table shows the total amount of share buybacks executed, and the dates are based on official authorized dates. The market data is as of May, 8 2026. Please note that the figures for November are still preliminary.

Source: Bloomberg, FactSet, QUICK Workstation, INDB, Morgan Stanley Research

General government gross/net debt (% of GDP)

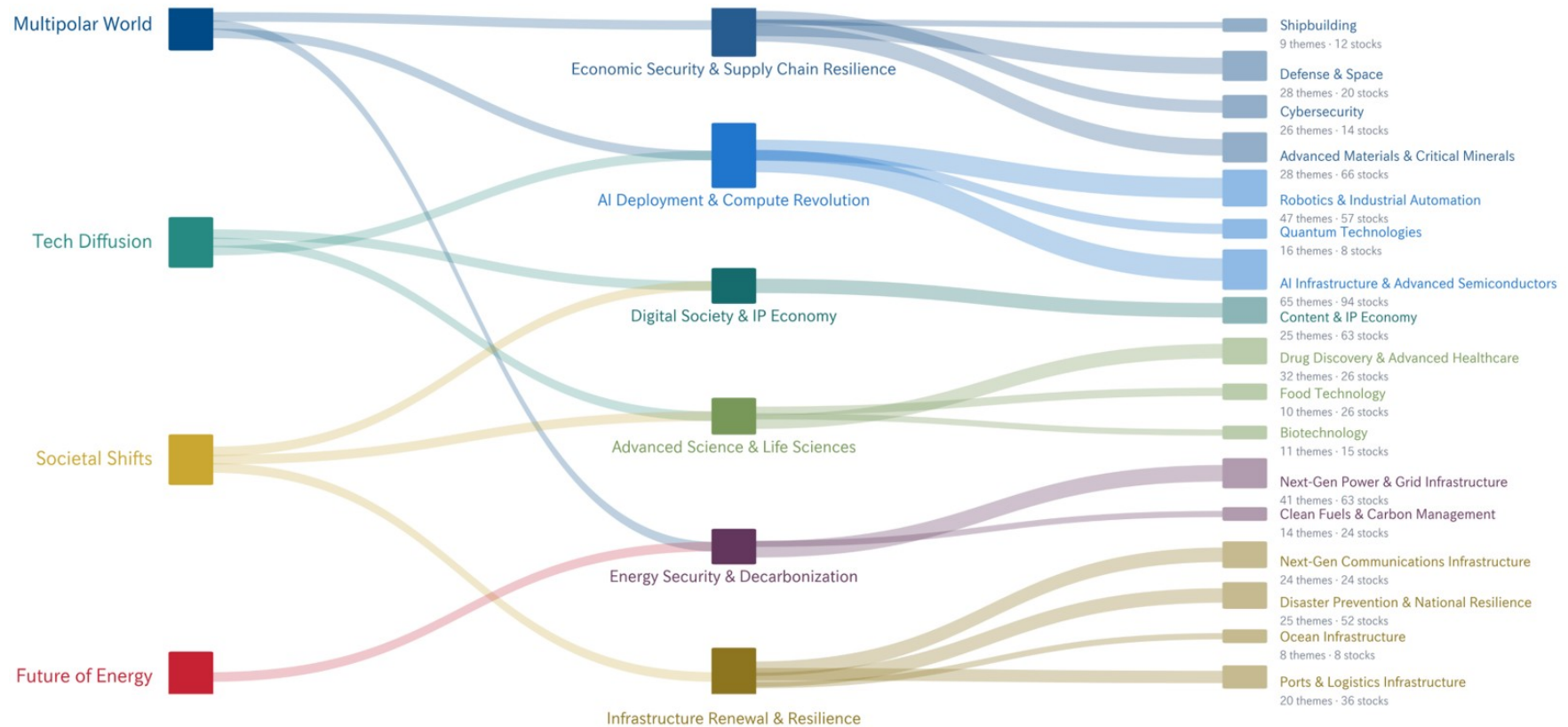


e= Morgan Stanley Research estimates.

Source: IMF, Morgan Stanley Japan Economics Research.

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Japan — PM Takaichi's 17 Strategic Domains Converge into a Set of Concepts



Note: MS's four Big Themes are defined as the top-level investment concepts (L0). L1 comprises six investment narratives derived from L0. L2 is defined as the 17 strategic domains under the Takaichi administration ("Defense and Space" are consolidated into single category. "Energy security and GX" are split into "Next-Gen Power & Grid Infra" and "Clean Fuels & Carbon Management," with fusion energy included in the former. Robotics is treated as a standalone theme.). L3 contains L4, the stock-selection categories. The universe is Prime-listed companies plus Astroscale.

Source: Morgan Stanley Research

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(as of May 31, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond

Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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